THE CASHFLOW WAY

TO INVEST IN REAL ESTATE

Robert Kiyosaki Ken McElroy

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A NOTE FROM ROBERT KIYOSAKI

One of the great pleasures in my life is having best friends as business partners. In my life, Ken McElroy is one of those rare persons. On top of that, my work with Ken has made me a millionaire many times over.

There have been many valuable lessons I learned from my rich dad. One lesson is, "Out of every bad deal comes a good person." This lesson has been priceless because it makes me less hesitant about potentially having business deals go bad. Explaining further, I will often go into a deal, even if I do not trust the people. I go in because I know that I will probably meet a good person along the way, even if the deal goes bad.

I met Ken in a deal that went bad. In fact, it was a horrible deal. The person who put the deal together—a young man I will call George—eventually went to jail. The Securities and Exchange Commission (SEC) ultimately shut his operation down. Unfortunately, George was married with three kids.

Ken and I smelled a rat early on and did not participate in George's investment scheme. We almost invested, but we passed on his bogus opportunity. The good news is that I met Ken, just as my rich dad's lesson taught me.

Today, Ken is a Rich Dad Advisor writing on real estate. His books, *The ABCs of Real Estate Investing*, *The Advanced Guide to Real Estate Investing*, and *The ABCs of Property Management,* are must reads for anyone who is interested in real estate investing.

The thing I like most about Ken is that he is extremely generous with his knowledge. He and I have traveled to many parts of the world to speak about our favorite subject: investing in real estate.

He is one of my closest friends. We have a great time together, teaching, sharing knowledge, and supporting each other's families in becoming richer and more financially secure in a financially volatile world.

A NOTE FROM KEN MCELROY

As Robert just said, we've been friends and partners for a long time. We've seen the real estate market soar, and we've seen it crash. We've made money in both situations. When you understand how to cash flow a property (and you will after reading this book) you'll understand the secret to making money no matter what the market does.

One thing you'll want to know when reading this book is who "rich dad" is and who "poor dad" is. They are real people who greatly influenced Robert growing up. Poor dad is Robert's real father, and the head of education in Hawaii when Robert was a child. While academically successful, he died a poor man. Rich dad was Robert's best-friend's father and an entrepreneur who never made it past grade-school, but became the wealthiest man in Hawaii. Robert writes about them in his best-selling book, Rich Dad Poor Dad.

Introduction

There are four reasons why we think this real estate book is important.

First, there will always be a real estate market. In a civilized world, a roof over your head is as essential as food, clothing, energy, and water. Real estate investors are essential to keeping this vital human need available at a reasonable price. In countries where investing in real estate is limited or excessively controlled by the government, such as it was in former Communist Bloc countries, people suffer and real estate deteriorates.

Second, a person can participate in and prosper with real estate in many ways. For most people, their only real estate investment is where they live. Their home is their biggest investment. During the real estate boom from 2000 to 2007, many amateurs got involved with flipping houses—buying low and hoping to sell higher. As you know, many flippers flopped and lost everything. In true investor vocabulary, flipping is known as speculating or trading. Some people call it gambling. While flipping is one method of investing, there are many more sophisticated and less risky ways to do well with real estate. This book is filled with our knowledge—and that knowledge was gained through the experience of real investing rather than flipping, speculating, trading, or gambling.

Third, real estate gives you control over your investments, that is, if you have the skills. In the volatile times of early 2009, millions of people were losing trillions of dollars simply because they handed over control of their wealth to other people. Even since the middle of 2008, the great Warren Buffett's fund, Berkshire Hathaway, has lost 40 percent of its value! Millions of people have lost their jobs, which means they had no control over their own employment either. True real estate professionals maintain control over both their businesses and investments.

And, finally, here's the real reason for writing this book. We are sick and tired of financial experts giving advice on real estate, especially when they do not actually invest in real estate. After *Rich Dad Poor Dad* was published, there was a television program with a financial author and television personality. At the time, in 1999, the stock market was red hot with the dot-com boom. This financial expert, who was a former stockbroker and financial planner, was

singing the praises of stocks and mutual funds. After the stock market crashed in 2001, this man suddenly resurfaced with a new book on real estate, portraying himself as a real estate expert. His real estate advice was beyond bad. It was dangerous. Then the real estate market crashed and he dropped out of sight again. The last time we saw him, he had written a book on investing in solar energy and was claiming to be a green entrepreneur. If he were to write a book about what he really does, his new book would be about raising bulls…. and selling BS.

Other financial "experts" who know nothing about real estate speak badly about real estate and say it is risky. The only reason real estate is risky for them is because they know nothing about investing in it. Instead, they recommend saving money and investing in a well-diversified portfolio of mutual funds—investments that we believe are the riskiest investments in the world, especially in today's market. Why do they recommend investing in savings and mutual funds? The answer is obvious: Many of these professionals are endorsed by banks, mutual fund companies, and the media. It's good business to plug your sponsors' businesses and products.

Donald Trump once said, "It's tangible, it's solid, it's beautiful, and it's artistic, from my standpoint. I just love real estate." We have to agree. Yet, even more than the real estate, we love the cash flow.

THINK

Even the worst deal can be made great with a financially educated investor.

Vis-a-versa, the best deal can be ruined by a bad investor.

Now, let's go through who you need to be and how you need to think *before* you do your first deal.

Chapter 1

WHAT WE MEAN BY "REAL ESTATE"

When we speak of real estate, we are talking about rental real estate that produces positive cash flow.

The term "real estate" covers a wide array of products, such as:

Single-family homes

Duplexes

Fourplexes

Apartments

Offices

Retail

Storage

And many more!

There are other not-so-common forms of real estate as well. In this book, we'll be focusing on the single-family home. Not because that type of property is the best, but it is a great place to start. Why? When you are learning, it's better to make mistakes that are small. Single-family homes are a much better place to make mistakes than a 400-unit apartment complex. And while this book will help you avoid a lot of mistakes, they will still be made. The other reason we will focus on single-family homes is mindset. Most beginning investors do not have the mindset to jump into huge, million-dollar deals, but they can wrap their head around the idea of buying a single-family home.

Before we move on to the "how-tos" in this book, we first want to make sure you truly

understand this amazing investment class called "real estate."

The Pros of Real Estate Investing

Leverage of OPM (Other People's Money)

You may pay 10%, 20%, or 30% as a down payment, and a bank, lending institution, or private party provides the rest of the funding. You can own a $100,000 property for just $10,000 or $20,000.

As you get more seasoned and sophisticated, you can leverage OPM for the down payment as well.

Cash flow

If the property is purchased and managed correctly, real estate can provide tremendous opportunities for cash flow.

Appreciation (an increase in the value of the property over time)

If you manage the property well, your rents will increase. When your rents increase (or your expenses go down), the value of the property appreciates. Cash flow and appreciation are two forms of revenue from rental properties.

Control

You have control over the income, expenses, and debt of your properties.

Not as subject to the fluctuations of the markets

A cash-flowing property is not subject to the daily ups and downs of the markets. It is typically a long-term play. A down real estate market can actually be the best time to buy.

Tax advantages

Depreciation is an annual deduction that is a percentage of the property value that you can write off as an expense against revenues.

Tax credits are available for low-income housing, the rehab of historical buildings, and certain other real estate investments. A tax credit is deducted directly from the tax you owe.

In some countries, the gains from the sale of real estate can be postponed indefinitely as long as the proceeds are reinvested in other real estate.

Slow

You usually have time to do your homework, make comparisons, analyze the numbers, and make the best investment decision for you.

Experience in real estate ownership

If you can buy your home or personal residence, then you can get into investment real estate.

Home-based business

Include your children in each rental property you purchase. You can learn together!

The Cons of Real Estate Investing

Time lag

Offers, counters, appraisals, inspections, financing—they all take time.

Not liquid

Liquidity is the ability to convert an asset to cash. You cannot get in and out of real estate quickly.

Difficult

Of the four asset classes, real estate is the second most difficult (after business). You must also deal with vacancies and bad tenants at times.

Time-consuming

It takes time to find a good deal. Properties must be managed on a daily basis.

Start Small for Success

Every successful real estate investor we know—male or female—started very small. If you personally own or are invested in real estate, our guess is that you started small as well.

There is a lot to learn, which means mistakes will be made. It's all part of the process. But when starting out, it's a lot easier to make mistakes on smaller properties with smaller amounts of money.

Tenzin (Robert's sister-in-law) was a Buddhist nun with His Holiness the Dalai Lama. She never took a vow of poverty, as that is not required, but she did live quite the frugal lifestyle.

Since experiencing a costly medical scare, she realized that money does have a large role in her life, and she began her journey into money and investments.

Her search led her to an inexpensive, relatively easy way to get into real estate—mobile homes. Mobile homes are not common in many cities throughout the world. They are prefabricated or manufactured houses that technically can be transported.

What Tenzin found was that she could buy a used mobile home for about $3,000 and receive a positive cash flow of about $200 per month. That is a very healthy return on her money.

Tenzin also discovered that in California, where she lives, a mobile home is deemed a motor vehicle. She doesn't need to go through the whole real estate process of getting title for this home.

She simply goes down to the Department of Motor Vehicles and picks up the title. Having previously been a nun with many non-income-producing responsibilities, the process of buying and renting out a mobile home is a viable solution for Tenzin as she begins growing her asset column.

Lots of Opportunity

The good news is that there is a ton of variety in real estate. If you think real estate is right for you, there is a deal out there that will fit your investment plan and profile.

All you have to do is start!

Cash Flow vs. Capital Gains

Real estate investing begins with knowing what you are investing to receive. In the world of money, there are two things investors look to receive from their investments: capital gains and cash flow.

Capital gains. So many people think investing is risky is because they invest only for capital gains. In most cases, investing for capital gains is gambling, or speculation. When a person says, "I'm buying this stock, mutual fund, or piece of real estate because I think it will go up in value," he or she is investing for capital gains, an increase in the price of the asset. For example, if we purchase a $17 million apartment house hoping we can sell it for $25 million, then we would be investing for capital gains. Not only would we be gambling, investing for capital gains often comes with a tax increase—this is not a bet we want to take.

Cash flow. Investing for cash flow is a lot less risky. Investing for cash flow is investing for income. If you put savings in the bank and receive 5 percent in interest, you are investing for cash flow. While interest is low-risk, the problem with savings is that the return is low, taxes can be high, and the dollar keeps losing value. When we purchase a 300-unit apartment house, we are investing for cash flow. The difference is that we are investing for cash flow using our banker's money for a higher return on investment and to pay less in taxes. That is a better use of leverage.

Have you ever played Monopoly? It is a great way to learn the difference between cash flow and capital gains.

For example, if you owned a property with one green house on it, you got paid $10 a month in rent. If you had three houses on the same property, you received $50 a month in rent. The ultimate goal was to have one red hotel on the same property.

To win the game of Monopoly, you had to invest for cash flow—not capital gains. Knowing the difference between cash flow and capital gains at the age of nine was one of the most important lessons his rich dad taught Robert. In other words, financial education can be as simple as a fun game and can provide financial security for generations—even during a financial crisis.

Focus on Cash Flow

Robert's rich dad's real estate investing philosophy was primarily based on cash flow. His idea of success or failure is based on the answer to one question: Do you have positive cash flow at the end of each month?

If you do, your investment is almost certainly a success.

After 1971, prices increased, but wages did not keep up with inflation. At the same time, jobs were being exported overseas. In the wake of this economic change, people began investing for capital gains.

Intuitively understanding that the dollar was becoming worthless, people stopped saving money and began investing in things that appreciated with inflation. People invested in art, antiques, old cars, Barbie dolls, baseball cards, and vintage wine—but stock and real estate were the most popular investment classes for capital gains investors. Many people became very rich borrowing money and investing in this way. Today, however, many of these same people are the new poor. This time, their bets didn't pay off.

In 1929, just before the market crashed, people were borrowing money to buy stocks on margin—basically taking out loans to buy stocks. They were betting on capital gains.

In 2007, people were again betting on capital gains with borrowed money—this time with houses and stocks. And that crash was just as devastating.

The Capital Gains Blues

In 2009, most of the investors who were crying the blues were those who invested for capital gains. If they had focused on cash flow, they might not have been as affected by this crisis. Between 2007 and 2009, the stock market lost over 50 percent of its value—a value measured in capital gains.

According to Bloomberg.com, since January 2007, the Case-Shiller Home Price Indices in 20 big American cities fell every month over two years. In some cities, such as San Diego, Miami, and Las Vegas, the decline was as much as 33 percent. It was reported that our city, Phoenix, earned the distinction of being the first major metro area where home prices had dropped over 50 percent from their highs. Again, Case-Shiller measures capital gains—the price of an asset at one particular time versus the price of that asset at another particular time.

Millions of baby boomers my age are praying that both the housing and stock markets will come back before they retire so they won't have to work through their retirement. But again, they are praying for capital gains. They are not actively taking control of their incoming cash flow. They are putting their faith in the market.

Beat Them at Their Own Game

We own a lot of real estate in Phoenix. But we are not hurting. We're doing just fine because we invest for cash flow. We rent apartments. We rarely flip properties. We beat the conspirators by playing the same game they play, the game of cash flow—the same game taught by playing Monopoly.

We could have made a lot more money in the short term if we had invested for capital gains or flipped real estate. It was hard to invest for cash flow while everyone else was investing for capital gains. Now, however, we appreciate the importance of cash flow more and more.

Why Don't More People Play the Game of Cash Flow?

Most people understand that it's important to have cash flow coming in every month. The problem is that they don't understand the difference between good cash flow strategies and average cash flow strategies. Good cash flow strategies provide passive income that is taxed as little as possible and that you can control. Average cash flow strategies provide passive income that is taxed in the highest income bracket and that you have little to no control over.

There are a number of reasons why most people invest for capital gains and not cash flow.

Most people do not know the difference.

When the economy was growing, it was easy to play the capital gains game. People automatically assumed their house and stock portfolio would go up with inflation.

Cash flow investing requires more financial sophistication. Anyone can buy something and hope the price will increase. Finding cash-flowing deals takes knowledge of both potential income and expenses, and how to project the performance of the investment based on those variables.

People are lazy. They live for today and ignore tomorrow.

People expect the government to take care of them. This was poor dad's attitude, and he died a poor man. For poor dad, it was easier to expect someone else to take care of him.

Today, there are tens of millions of Americans, my fellow baby boomers, who are about to follow in my poor dad's footsteps. If you don't want to be poor, you need to know how to play the game. The way to beat the conspiracy is first to know the name of the game, and the name of the game is cash flow.

Chapter 2

POOR PEOPLE'S RELATIONSHIP WITH DEBT

When most people hear the word "debt," they cringe. They think about their unpaid student loans and credit card bills, and they think of collection agencies harassing them. This is because most people, especially poor people, only have experience with bad debt. This experience both leads them to shy away from debt, and to tell their loved ones to do the same.

Most poor people fall into two categories with their beliefs about debt, and a lot of it comes down to how they were raised. Some poor people were raised to think debt is something you can just rack up without consequences. This leads to catastrophic results. Other poor people are taught that debt is bad and that they need to stay as far away from it as possible. While this doesn't put them in the same danger as abusing debt, it does ruin their chances of leveraging debt to become rich and successful.

The poor use credit to purchase liabilities, like cars, clothing, phones, and more. They apply for multiple credit cards to buy things they want or think they deserve, and when the bill comes, they are trapped.

When you use credit to purchase liabilities, you are only racking up bad debt. Most poor people don't understand this, and when they learn it, they learn the hard way.

To properly use debt, you need to understand the differences between good debt and bad debt, and you need to understand the difference between how poor people look at debt and how the rich look at debt. Once you understand debt in these ways, you'll be able to leverage debt properly, and you'll be able to use OPM to reach your financial, business, and investment goals.

Rich People's Relationship with Debt

Unlike the poor who become trapped by their debt, the rich use their debt to liberate themselves. Good debt allows the rich to grow richer because good debt leverages OPM in a way that benefits both the debtor and the investor or business owner.

Also, unlike the poor, the rich use debt to purchase assets instead of liabilities. Where the purchases of the poor continue to make them poorer because the value of the purchases depreciates, the purchases of the rich allow them to become richer. They spend their money purchasing real estate, businesses, and other investments that will turn a profit, and then they use some of that profit to put a down payment on more good debt.

Let's say that you bought a piece of real estate using the bank's money. Then, you rented out the property. You charged your renter enough to cover expenses, insurance, the mortgage, and a healthy profit. You have now used OPM to pay back the money that you borrowed from a different set of other people.

The poor and middle class, on the other hand, take on debt and pay it out of their own pocket. They may take a loan from a bank to buy a car or a home, and then they are forced to pay it back with their own income. Doing this will not make you rich.

Rich dad often cautioned about good debt and bad debt. He would often say, "Every time you owe someone money, you become an employee of their money. If you take out a 30-year loan, you've become a 30-year employee, and they do not give you a gold watch when the debt is retired."

Rich dad did borrow money, but he did his best not to become the person who paid for his loans. He explained that good debt was debt someone else paid for you. Bad debt was debt that you paid for with your own sweat and blood. That is why he loved rental properties. He encouraged me to buy rental real estate because "the bank gives you the loan, but your tenant pays for it."

Debt is Income Tax-Free

Here's the other thing that the rich realize about debt—it is income tax-free. Now, this isn't to say that it is tax-free; you still have to pay taxes on whatever you are purchasing with OPM. Still, you don't have to use your own money, which has been taxed, in order to make a purchase.

Let's say that you made $20,000, and for simplicity, you had to pay 25% of that in taxes. That leaves you with $5,000 less, so you actually only have $15,000. If you wanted to invest your $20,000, you'd only be able to invest $15,000 max.

Now, let's say that you borrowed $20,000. You can invest 100% of this $20,000 because it isn't your money. You can't be taxed on it.

Again, this doesn't mean that your investment will have no taxes attached to it. If you took out a car loan for $8,000 and you went to buy a car, you couldn't buy an $8,000 car with that loan—you still have to pay sales tax. But you have access to $8,000, whereas if you were to use your own money with a 25% tax rate, you'd only have access to $6,000.

This is another major reason that the rich use OPM, and it illustrates how they avoid paying taxes on many of their purchases.

Be Careful with Debt

Whether you are taking on good debt or bad debt, you are still taking on debt. Because of this, I want to warn you to be careful when taking on debt. Even if you convinced the banks that you know what you're doing with the money, you still need to be certain deep down that you aren't taking a huge risk without having a solid foundation of financial knowledge.

I believe in using debt to make myself richer, but I don't encourage people to use debt just for the sake of using it. Think things through first and see how you can leverage debt to make yourself richer instead of putting yourself in major danger. Also, make sure you understand the

difference between an asset and a liability before you take out any loans.

To become richer, learn to leverage OPM properly and to spend it wisely.

Chapter 3

THE PERILS OF CARELESS PROPERTY MANAGEMENT

Of all the subjects in this book, property management might be the most misunderstood. The reason for this is simply the fact that in order to be a successful real estate investor, you don't necessarily have to be a successful property manager.

That statement might seem a little odd to you at first, but if you think about it for a second, you'll know it's true. You can have tremendous instincts and the ability to find, analyze, and even take down phenomenal real estate deals. You might have an extensive network of equity sources and solid and trusted investors waiting for your next deal. You can have a solid team of lawyers, mortgage brokers, and general contractors. All of these things will enable you to be successful at finding and investing in real estate. But they are all transactional. By that I mean they are needed to invest well in real estate. This is often the focus of many real estate investment books. None of these things, however, will make your investment successful once you actually own it.

If your primary investments are in smaller rental properties like single-family houses or duplexes, you might be asking, "Do I really need a property manager for a house or a duplex?"

Most people feel that professional property management is something that only makes sense for people who own big apartment buildings—for professional investors who have the money to hire a company. That couldn't be further from the truth.

Those same people tend to think that they should manage their rental house themselves. It's no big deal, they say. How hard could it be to collect rent! Boy, are they in for a surprise. Managing any property is time-consuming and demanding, no matter what size it is. The same principles apply no matter what the size. You have to find renters, collect rents, perform maintenance, complete capital projects, take legal action—the list goes on and on.

This is not to say that you can't manage your own property, and that you can't do it successfully. Many people do. But more often than you might expect, people wander blindly into managing their own properties, and often with disastrous financial results. It's not that they are dull or incompetent. We've known many brilliant people that have horror stories when it comes to managing property. Rather, it's often a fundamental lack of understanding of the basic principles that can lead to disaster. Usually, this doesn't come in the form of a major catastrophe. Instead, one little mistake leads to another, and another, and another, and—well, you get the point. All these little mistakes add up to one major mess. In the end, most amateur investors rationalize the situation by placing the blame on the real estate and say that it was just "a bad investment."

To prevent us from talking in generalities, let us tell you a true, personal story and then pull some lessons out of it...

Some very close friends bought a house in Washington State as a rental property. It was a good size with four bedrooms and three bathrooms, so they usually rented it to families. They bought the house in the early 1980s for about $70,000, and today it is worth about $350,000. In that respect, they have done very well with the house as an investment. They even had pretty good luck with renters for the first ten years or so, with only minor damage to repair here or there and not too many challenges in collecting the rent. But all that came to an end when they met the "problem renter."

Our friends are wonderful, warm, and intelligent people who faced an overwhelmingly difficult situation regarding their rental property—a situation that was unfortunately nobody's fault but their own.

The problem renter (we will call him Ross) was found through an ad they placed in the paper. They went through the usual process they used when assessing a potential renter. They performed some reference checks and had a personal meeting with him. Right up front he said that he'd just filed for bankruptcy, but because our friends are very nice people, they still felt compelled to rent to him. Here's how they put it:

They were, you know, good Christian people and they did go to church and their pastor co-signed for them. We required that. And he did. Ross's brother was in jail, and he and his wife were taking care of his two kids, and they were living in an apartment. Ross and his wife had two small children of their own at the time. And the sob story was they needed more space. Well, that's where our hearts took over and we rented to them... I think the bottom line is that we really made the mistake of not checking. Although I think we knew that we had taken a chance, but the fact that here they were taking care of his children and his brother's children and they needed the space. We just made a huge mistake.

Immediately Ross's deposit check bounced. He had a story for that too. (They always do, by the way.) Still, our friends continued to cut him slack. Here's how my they summed it up:

He always had some story for it, which even I believed initially. You know, you don't want to kick somebody out right away. We didn't really have a big problem with the rent initially back then. I laugh about it now, because the biggest problem was that we didn't get the rent on time. Compared to what we went through later, it was not that bad. And when we would go down there to visit, the house was always clean, always looked good. Initially.

By now, you are probably sensing that as the situation developed, late rent was the least of their concerns—and you're right. Eventually, Ross started only paying late, but then began not paying at all—$15,000 in back rent when all was said and done, over 19 months' worth of rent.

On top of all that, Ross was a self-proclaimed handyman who had worked as a carpenter and a landscaper. Without the permission of our friends, he began to initiate projects around the house that he deemed to be improvements. Not necessarily a bad thing, except that he never finished any of them. Over the course of the time that he was in the house, Ross had started the following projects:

- Completely tore out the front and back yards, including retaining rockeries on both sides of the back yard, causing damage to the neighbor's yard.
- He also accidentally knocked the deck off the back of the house.
- Removed every interior door in the house.

- Removed every baseboard in the house.
- Removed all kitchen cabinets and all kitchen appliances.
- Tore out all bathroom vanities.
- Started to install a Jacuzzi.
- Expanded a closet into the garage, making it impossible to park a car in the garage.
- Demolished a wall in the downstairs utility room because he wanted a bigger bathroom.
- Removed all carpet in the upstairs in order to lay down hardwood flooring.
- Started rounding corners on all walls.
- Started installing an oversized shower in the downstairs bathroom.

None of these projects were overseen by a licensed contractor. Consequently, there was a host of plumbing and electrical issues to be dealt with as well.

Beyond all of these issues, Ross had also stolen money from our friends.

This happened the summer that we finally got him out of there. I finally said, "We need to go find out where the rest of these landscape blocks are that had been in the backyard," and so we went up to the business where we paid for the blocks. And after some head scratching and "No, I don't remember," the block company finally found that Ross had actually come in the summer before and returned the blocks for a refund of over $600.

You might be asking yourself, "How could they let this happen?" Our friends are by no means novice investors. They own four properties in the Seattle area and until the problem renter, they managed the properties themselves while living in Scottsdale, Arizona, part of the year. They make a point of saying that until the problem renter, they never really had any issues, but that is more from the luck of the draw than from calculated strategy.

In fact, it was their lack of sound property management fundamentals that landed them in

this very grave situation. They suffered from "hold on and hope it gets better" disease, which makes you believe that someone will change their behavior next time, regardless of an established pattern of past behavior. It almost inevitably starts out sounding a little something like this:

But, when somebody has been renting for years and paid you over $100,000 in rent, you cut him a little bit of slack, knowing that he was capable of doing good work if he would just focus on it. We tried our darndest to get him to focus on some of these projects to get them done.

And it always ends up sounding like this:

But that turns out it was too much to hope for. It became very obvious in the last year and a half that things were not going to get done. The only way they were going to get done was for us to get him out of there and finish them ourselves, along with the help that we hired. Once we came to that conclusion, then the effort was directed at getting him out of the house.

Our friends ended up hiring a property manager who was responsible for evicting Ross from the house. The damage, however, was already done. In the fall of 2004, they came out of retirement and traveled to Seattle from Scottsdale to begin repairs on the house.

They had to enlist the help of two friends as well as a contractor. It took five people in all to do the work needed. Those five people worked every day for six to eight hours from September until November in order to get the house livable again. Three months of their retirement were gone.

When all was said and done, the costs associated with their decision to rent to Ross were astronomical:

Back Rent	$15,000
Repairs	$55,000
Not raising rent for nine years	$40,000
Total	**$110,000**

Pretty unbelievable, huh? The most amazing part is that our friends had only paid $70,000 for the house when they bought it. Expenses stemming directly from poor property management had cost them over 1.5 times the original cost of the house. Ouch.

Beyond the economic impact, however, there were deep emotional costs. This is important to understand. Our friends had to deal with not only their own emotions, but also those of their tenant, his family, and the neighbors, who had contacted the city and every government agency in attempts to get the problem renter removed. They found the stress unbearable at times. In the end, our friends were very much affected by the situation, both individually and as a couple.

They would ask us for advice, but would not act on it. It's not that they were required to listen to us, but we had over 20 years of experience running companies that dealt with situations exactly like theirs. We knew what needed to be done, but only they could do it. And when they finally did, it was much too late.

Let's summarize the lessons in this story:

Perform reference checks, credit check, and criminal background check.

Hold a personal meeting with the potential tenant.

When a rent check is late or bounces, hold the tenant accountable. Do not start a pattern of forgiveness.

Only hire licensed contractors to complete repairs.

When you see something wrong, take action; don't hope and pray that it will self-correct.

Hiring a Property Manager

When deciding whether to hire a property manager, the question you have to ask yourself is, "Do I feel lucky?" Well, do you? Do you feel confident that you have the expertise and the time to effectively manage your hard-earned investments? If so, then this chapter should be a reminder and a catalyst for you to further increase your property management knowledge and reevaluate how effectively you are managing your properties. A timely review of your practices and a little time spent furthering your property management knowledge could net you even more income than you are already realizing.

If you don't feel confident in managing your own properties or don't feel that you have the time available to do it effectively, then by all means, find a good, professional property manager and hire them as soon as possible. It will be one of the best business moves you will ever make.

Finding a good property manager is not as simple as googling it and calling the first company that sounds the most professional. Given the information we've covered already, it stands to reason that choosing your property manager will be one of the most important decisions you'll make in regards to your investment. Here are some helpful tips for finding the right fit for your property. This is by no means a comprehensive list, but it will get you thinking in the right frame of mind.

1. **Use your team**. As we like to say, "Business and investing are a team sport." If you don't know of a reputable property manager that you can trust fully with your investment, then ask the members of your team. Chances are that they will be able to refer you to an excellent company. But don't take their word for it. As we always say, "Trust, but verify."

2. **Trust, but verify**. If you were smart, you conducted a thorough due diligence on your property before you purchased it. You need to perform the same level of due diligence when looking to hire a property manager. Get a full client list and interview the existing clients of the management company in question. Do they like the service they receive? Have there been any obvious mistakes or blunders you should be concerned about? Ask how the property management company has increased the value of the owner's property. Also, interview the employees of the company and the potential on-property manager for your property. Make sure they are upbeat, knowledgeable, and a good fit for your personality. You will have to interact with these people on a continual basis.

3. **Find the right fit.** There are tons of different types of management companies out there, each with their own specialization. Some companies will specialize in commercial property management, while others will specialize in apartments. Some companies will be better suited for large properties; others will be a perfect fit for smaller properties. The point is that, even if you do find a good management company, they might not be good for you and your needs. You wouldn't want to hire a large property management company that specializes in large apartment buildings to manage your duplex. They might be awesome at what they do, but your property would get lost in the fold—it would be too small for them to give it their full attention. On the other hand, a smaller, local property management company would jump at the chance to manage your asset, and they would give you personalized service and attention.

4. **You get what you pay for.** Too often, people want to save money, and they balk at the fees a management company charges. Don't. Management fees vary by market and property type and size. However, I will say that if a fee looks too good to be true, it probably is. Every investment in the world, if it is managed, costs you money. The beauty of property management is that you at least know what the fee is. Often, with investments like mutual funds and stocks, the fees are hidden (and substantial) so you don't feel them. You know what they say, "Ignorance is bliss." But with property management, the fees should be clearly explained and spelled out up front. I guarantee that if you find a good company, it will be worth its fees. In just a few simple (and common) examples, I've shown you how much income an effectively managed property can pull down.

5. **Money matters.** Make sure that any company you retain has a very good accounting

department. When it comes to managing your investment, proper accounting is a must. You want the company that you use not only to understand what is going on with your property's operations, but also what's going on with your property's finances. Also, make sure that your property's money will be held in a separate account.

Successful Investments are Properly Managed

Nothing is more important to the success of your investment than knowledgeable property management. Oftentimes, it is the difference between meeting your investment goals and losing untold amounts of money. Whether you manage your property yourself or have someone else do it for you, don't try to "save money." That always leads to disaster and loss.

The good news is that now you know. And if your investments aren't being properly managed, the solution is easy, and the ability to increase the value of your assets almost instantly is right in your hand. So, take the plunge. I promise you won't be disappointed.

LEARN

If you want to be rich, you need to be financially literate.

Now, let's go through the actual steps and processes to get your first real estate deal…

Chapter 4

FINDING PROPERTIES

Where Do I Begin?

Now you're ready to start looking for properties. But what exactly are you looking for? And where do you find it? In this chapter, you'll learn how to answer those questions for yourself just as rich dad would.

First, you'll learn how to figure out what types of property fit your plan. You'll learn rich dad's most important guidelines that apply to any situation, but you'll also learn how to set other criteria based on your own particular circumstances and goals.

Then you'll get some very practical advice on where to find those properties you've targeted. You'll walk through some basic tips & methods to find properties.

Along the way, keep in mind that cardinal 100-10-3-1 rule. For every single property you end up buying, you should expect to:

Look at 100
Make offers on 10
Have 3 accepted
Buy 1

At the end of this chapter, you'll take a big step toward buying that first real estate investment—you'll start your first list of 100 properties!

"Every man who invests in well-selected real estate in a growing section of a prosperous community adopts the surest method of becoming independent, for real estate is the basis of wealth."

—Theodore Roosevelt

What am I Looking For? Establishing Your Criteria

Two of the most important things to keep in mind about properties are cash flow and appreciation. No matter what your level of experience, these should always be your two primary criteria.

Keep your eyes peeled for areas that are up-and-coming. In general, Real estate tends to appreciate over time, but you want to find areas that are appreciating even more. A good idea is to look not just at the residential area, but nearby commercial areas as well. Are there new or high-end stores opening in the area? Are there new office buildings being built or companies moving in? These could be signs that the neighborhood is improving or in demand, and you may be able to get in on the ground floor of a booming market. Read the following questions and answers, then fill in the Basic Criteria worksheet.

What Type of Property is Right for Me?

Start small | Start with a small property—a single family home, a duplex, or 3-plex. Mistakes are part of the process, and you should expect to make them. With each mistake, you become smarter and your next investment easier. So make your mistakes on small properties, learn from the mistakes, then move on to larger properties. This is also why you want positive cash flow properties: The cash flow can buffer the mistakes you'll make along the way.

Stay close to home | Ideally, look for rental properties that are near where you live. That makes it easy to drive around the neighborhood and see what new properties are on the market, watch the selling prices and purchase prices, talk with the neighbors, and keep a pulse on your particular market.

Establish cash flow as soon as possible | Your goal is positive cash flow, ideally from day one. Sometimes you'll need to take a few steps before the cash starts flowing, but make positive cash flow your top priority.

Hold on to the property as long as it produces a reasonable income stream
Or hold on until it appreciates and you can sell it, moving the gain to a larger property with an even stronger cash flow. As far as rich dad is concerned, the best investments are those that keep the cash flowing year after year.

So What Types of Property Can Help Me Meet These Goals?

If you're a beginner, you'll want to look primarily for residential real estate up to about a 3-plex at most. If you've already begun investing and are ready to increase your holdings, it might be time to move on to 4-plexes or maybe even a small apartment building. As you become more confident in your plan, you'll quickly graduate to larger properties.

MY REAL ESTATE CRITERIA

I am looking for_____type of property. I plan to invest about $_____as a down payment.

My price range is $_____- $ _____

(Multiply down payment by 10, then subract 20% to 30% for the low end, and add 20% to 30% for the high end of your range.)

I plan to invest about $_____for renovations and fixing up.

I am considering the following types of financing:

_____

_____

_____

_____

How Much Can I Afford?

First, decide how much you have available as a down payment. For a rough estimate of price range, multiply this by 10, which assumes putting 10% down. You may very well ultimately put more or less than 10% down, but it's a good way to estimate your target. Now calculate 20% to 30% above and below that target to establish your range.

Rich dad said: "When buying investment properties, look for cashflow potential and areas that are up-and-coming."

Note: Don't limit yourself exclusively because of price. Never turn a good investment down because "I can't afford it." You'll be amazed at how creative you'll become about finding the money if the deal is very good. Not having the money often makes you smarter because you have to think of alternative ways to come up with what you need.

How Much of A "Fixer-Upper" Can I Tolerate?

To find a good bargain, learn to see beyond the obvious. Sometimes properties in obvious need of work can become wonderful opportunities—if the price is right, that is. However, when you first start out in real estate investing, you may not have the time, or the up-front funds, to take on major renovations. What you're looking for are properties that need small, inexpensive, cosmetic fixes: yard clean-up, decorative painting, a new refrigerator. Sometimes a small investment—less then $1,000—can add significantly to the potential value and rental rate of a property. Also, consider the age of the property when thinking about renovations. Often, older properties need more work.

How Will I Pay for This Property?

It's not too soon to start thinking about how you'll finance this investment. For now, you just need to start considering potential sources of funds.

Take note of the following financing sources:

- Local banks, mortgage companies, and savings and loans.
- Private funds.
- Assumable mortgages.
- Owner financing.

Where Do I Look? Finding Properties and Bargains

Especially when you're starting out in real estate, there's just no substitute for going out and looking at properties. It's the best way to get a realistic feel for the market you're entering and to spot trends you might be able to take advantage of. It's also a good way to find a broker. As you look at For Sale signs, take note of the broker names that appear most frequently—they'll know the most about the area you're interested in. Start with your own neighborhood or one close by, so you can go there again and again. As you start your search, keep the following tips in mind. They'll help you narrow your focus.

Explore the Area

It's important that you personally inspect the area. Jog, walk, or drive around the neighborhoods you're considering regularly. Note any changes, and pay particular attention to For Sale signs. How fast do they go up—and come down? Who are the most popular agents? Talk to people who live in the area and ask them about it. You might be surprised at the answers.

Scan the Internet

There are hundreds of sites full of real estate deals. Compare the price ranges and rental rates in different neighborhoods. This comparison will help you identify an area or neighborhood that shows promise.

Talk to Real Estate Professionals

Once you've identified a market, make appointments with several real estate professionals who do business in the area and discuss the market with them. They not only know what's available, they can also give you a good idea on price and current market conditions.

Talk to the Local Chamber of Commerce

All chambers of commerce produce studies that provide information on planned future developments, both public and private. This information can be valuable when looking at the potential growth and change in a neighborhood.

Identify Useful Governmental Agencies and Officials

Governmental bureaucratic red tape can be maddening, but you do need to know something about the laws affecting the rental market in your chosen area and the real estate laws in general. Take the time to find out which state and local governmental agencies regulate the real estate and housing industries in your area. Always consult a lawyer if you have doubts or questions.

Seek Out Local Real Estate Investment Clubs and Associations

Research Zoning Laws

Contact your local zoning and planning commission. They can provide you with the most up-to-date information on current and future plans for the area in which you wish to invest.

Chapter 5

HOW TO KNOW A GOOD DEAL FROM A BAD DEAL

As you look at properties, you'll be forming opinions based on what you see. But to pick out the good deals from the not so good, you also need to look deeper. You need to look at the numbers.

In this chapter, you'll learn how to review a pro forma—a good tool for evaluating properties in terms of the return they might generate on your investment. You'll look at several examples and learn how to get a better fix on a property's potential by completing an upside checklist. And to prevent "analysis paralysis," you'll also learn about taking shortcuts to a deal. By the end of this chapter, you might be well on your way to your first successful deal!

What is a Pro Forma?

A pro forma is a type of financial statement for an investment property. But unlike a cash flow statement representing current income and expenses, a pro forma is a projection of anticipated income and expenses. Most pro formas don't show actual operating numbers.

Where do you get pro formas? Ask the agent, whose job it is to gather the information on a pro forma in order to market the property to potential buyers. You can even ask a real estate broker for pro formas for the general types of property you're interested in. You'll soon see that they come in all shapes and sizes, but if you understand the basic elements, you'll always be able to get to the information you need.

Remember, pro formas are selling tools, and they typically paint a rosy picture. They may assume an increase in rents, as well as decreases in the vacancy rate and in expenses. On the next three pages we will discuss the components of a pro forma, look at a sample pro forma, and analyze it.

What's on a Pro Forma?

The definitions that follow will help you understand the information on just about any pro forma. Real estate brokers typically don't generate pro formas for single family rental properties. But as you'll see in the following example you can easily use the same format for any type of investment property—even a single family home.

The Numbers

The numbers on a pro forma will tell you whether a property qualifies for further review. If you decide to pursue the property you will then use the pro forma numbers as a starting point for the financial analysis you will do with Rich Dad's Real Estate Evaluator™.

Rich dad said, "You can't tell from the building alone whether an investment is good or bad. You've got to look at the numbers. The numbers tell the story."

What Do All the Terms Mean?

Many of the individual items on a pro forma are self-explanatory. A few are defined more thoroughly below.

Price | Either the seller's asking price, or what you expect the purchase price to be.

Cash on Cash Return | The annual cash flow divided by the down payment assumed by the seller. On a pro forma this is simply an indicator.

CAP Rate (capitalization rate) | The net operating income divided by the purchase price, expressed as a percentage. The CAP rate, which excludes the amount of debt, is an indicator of the value of the property.

Unit Mix | The number of units on a property. Unit type includes studio, 1 bedroom 1 bath, 2 bedroom 1 bath, and so on. From the figures for number of units, square footage per unit, and monthly rent, you can calculate the rent per square foot and the total monthly income from all the units of each type.

Gross Income | The total of all income from all units whether actually rented or not.

Vacancy Rate | The percentage of rent you will not collect because of unrented units. If your gross income is $1,000 and your vacancy rate is 10%, you'll subtract $100 from the income.

Other Income | Other sources of income such as parking fees, laundry service, etc.

Operating Expenses | All the expenses of operating the property.

Reserves | Money set aside for repairs and improvements to a property.

Net Operating Income (NOI) | The total operating income less total expenses.

Debt Service | The amount of principal and interest, based on the financing proposed on the pro forma.

Levered Cash Flow | What's left over after all cash expenses—including the mortgage principal and interest payment—have been made.

Assumable or Owner Financing | Either the amount and terms of a loan that the buyer can take over or the amount of debt the seller is willing to carry, which means you'll be borrowing money from the seller at an agreed-upon interest rate.

SAMPLE

PRO FORMA

Name	Arizona Apartments	Price $	1,150,000	Down payment $	478,000
Address	Phoenix, AZ	Price per unit $	46,000	CAP rate	8.7 %
		Total square footage	18,150	Cash on cash return	9.8 %
No. of units	25	Year built	1986	Price per square foot $	63

UNIT MIX

Unit type	No. of units	Sq. ft. per unit	Monthly rent per unit	Rent per sq. foot	Total monthly income
1bd / ba	10	615	508		5,080
2bd / 2ba	15	800	630		9,450

INCOME	Monthly	Annual
Gross Rental Income	14,530	174,360
(-) Vacancy Rate (8 %)	1,162	13,949
(+) Other Income	653	7,846
(=) Total Operating Income	$ 14,021	$ 168,257

OPERATING EXPENSES	Monthly	Annual	Per unit
Maintenance and Repairs (Building)	917	11,000	
Maintenance (Yard)			
Management Fee	631	7,572	
Contracted Services			
Advertising	327	3,925	
Utilities	1,000	12,000	
Salaries	958	11,500	
Miscellaneous	544	6,525	
Real Estate Taxes	675	8,100	
Insurance	156	1,875	
Reserves	417	5,000	
Total Operating Expenses	$ 5,625	$ 67,497	$
Net Operating Income (NOI)	$ 8,396	$ 100,760	$
(-) Debt Service	$ 4,471	$ 53,652	$
(=) Cash Flow	$ 3,925	$ 47,108	$

CASH FLOW *(Annual)*

Net Operating Income	$ 100,760
(-) Debt Service	$ 53,652
(=) Cash Flow	$ 47,108

CASH ON CASH RETURN

Cash Flow (A)	$ 47,108
Down Payment (B)	$ 478,000
A÷B=Cash on Cash Return	9.8 %

ASSUMABLE OR OWNER FINANCING

Type	Interest Rate	Amount	Monthly Payment	Due date
HUD-Assumable	% 7% fixed	$ 672,000	$ 4,471	2044

How Do I Analyze the Pro Forma?

Now that we've defined several of the terms on a pro forma, let's take the next step—interpreting the information on the pro forma to determine whether the property is a potential investment for you. After you've reviewed many pro formas, the process will become much easier as certain properties will be quickly eliminated and others will stand out as potential winners. Your skills as a real estate investor improve with every property you analyze.

Location | A property's location can help determine if the price is a good deal. Upscale neighborhoods will naturally carry a higher price tag, but remember to think in relative terms, and look especially for prices that may be lower than the average for the area. Also, is the neighborhood up-and-coming or deteriorating?

Price per unit, price per square foot | For multiple unit properties, these are good figures to look at for comparisons. You might find a property with a high price per unit (price divided by number of units), but if the units are larger than average, with greater square footage, the price per square foot might be competitive. As you become more familiar with a given area, these figures will become key indicators.

Unit mix | Look for a mix of unit types that matches the needs of the area. Studios might do well in a college town, but two bedroom apartments might be a bigger draw in a downtown location.

Age of the property | The older the property, the greater the likelihood that you'll be facing deferred maintenance—in which case you might want to increase the reserves you set aside for repairs.

Vacancy rate | Always assume some sort of vacancy rate; ask your broker what the average is in the area. A high vacancy rate may actually represent an opportunity: It can justify asking for a lower price, and if you can see ways to turn the situation around, you can greatly increase the value of the property and the cash flow to you.

Expenses | This is where some knowledge and experience can improve your bottom line. A poorly managed property will reveal itself in high expenses. For example, a high electricity bill may mean that the owner pays for the tenants' electricity; you might be able to improve cash flow by having the tenants pay for their own electricity. Note that in the preceding example, expenses are only broken down annually. You can divide by 12 to get a monthly figure if you want.

Financing terms | In the preceding example, there's existing financing locked in at 7% that you may assume with very little qualifying. That could be a major plus depending on the state of the economy. You might also be able to finance through the current owner to avoid going to a bank for a loan.

Cash on cash return | Simply put, the higher the cash on cash return, the better. But a low return isn't always bad news: It might just mean there are opportunities to be found in the other numbers.

Running the Numbers

Now it's time to analyze the property based on the numbers offered on the pro forma. To do this, use Rich Dad's Real Estate Evaluator™. There is a hard copy of this worksheet on the next pages, or you can use the online worksheet on the Rich Dad web site at www.richdad.com.

To Analyze a Property's Numbers

1. Transfer the numbers from the pro forma to the Real Estate Evaluator.
2. Make adjustments to the various numbers to give you several scenarios for the property. For example:

Income | Are the rents competitive? Can you increase the rents? If so, how much can you increase them and still be competitive in the market?

Vacancy | Is the vacancy rate realistic? If it's high, what can be done to reduce it? If you are confident that the rate can be reduced, you may want to calculate the numbers based on a lower rate. If it's low, you may want to increase it to be comparable with vacancy rates in the area and get a more realistic picture.

Other Income | Is there opportunity to add other income to the property (vending machines, laundry, etc.)?

Expenses | As you gain more experience it will become easier to assess the expenses of a property. Which expenses seem high and which seem low? Make adjustments.

Financing | Put in the purchase price you want to offer. What is the down payment you may be paying? What are the loan terms—amount, term of loan, interest rate, closing costs?

Investment Analysis | Rich Dad's Real Estate Evaluator™ calculates cash on cash return for two different financing scenarios: with settlement fees paid by the buyer at settlement, and with settlement fees added into the loan amount. Is there a significant difference? If so, keep this in mind as you arrange financing.

You will see that as you change any or all of these numbers, your analysis will also change. On the electronic worksheet at the Rich Dad web site, the cash flow and cash on cash return will be automatically calculated for you. So work the numbers, be creative, and create a financial strategy that makes the investment work for you. Have fun with it and learn!

Definitions you'll need to know

Pro forma | A projected financial statement based on anticipated, not actual, income and expenses.

Cash on cash return | A percentage figure determined by dividing theannual cash flow for a property by the actual cash you invested. (This could include down payment, closing costs, and fix-up expenses.)

Deferred maintenance | Necessary repairs and upkeep that have been left undone by the seller. Maintenance that has been deferred can represent an opportunity in a deal, allowing you to negotiate a lower price.

S AMPLE

REAL ESTATE EVALUATOR *(front)*

PROPERTY INFORMATION

Property Name: House No. 1
Property Address:
Area/Cross Streets:
Listing #:

Asking Price: $ 139,900
Total Units: 1
Cost Per Unit: $ 139,900
Total Square Footage: 1130
Cost per Square Foot: $ 124

INCOME

Unit Information:

# of Units	Unit Type	Square Feet	Rent	Monthly	Yearly
1	3 bed / 2 bath	1130	$ 1,350	$ 1,350	$ 16,200
			$	$	$
			$	$	$
			$	$	$
			$	$	$

		Monthly	Yearly
Gross Rental Income		$ 1,350	$ 16,200
Other Income		$	$
Vacancy Loss	5 %	$ 68	$ 816
Total Operating Income		$ 1,282	$ 15,384

EXPENSES

	Monthly	Yearly
Accounting	$	$
Advertising	$	$
Bank Charges	$	$
Electricity	$	$
Gas	$	$
HOA (Homeowners Association)	$	$
Insurance - Hazard (Normal)	$ 33	$ 396
Insurance - Mortgage	$	$
Landscape Maintenance	$ 10	$ 120
Legal	$	$
Maintenance (Handyman)	$ 30	$ 360
Manager Salary/Management Fee	$	$
Miscellaneous	$	$
Permits & Fees	$	$
Pest/Termite Control	$	$
Phone	$	$
Postage/Shipping	$	$
Referrals or Commissions	$	$
Reserves	$ 50	$ 600
Supplies (Maintenance)	$ 10	$ 120
Supplies (Office)	$	$
Taxes (Property)	$ 51	$ 612
Trash Pick Up	$	$
Warranties	$	$
Water/Sewer	$	$
Total Operating Expenses	$ 184	$ 2208
% Operating Expenses to Income	14 %	
Net Operating Income	$ 1,098	$ 13,176

SAMPLE

(back)

FINANCING

Purchase Price	$ 135,000	
Down Payment	10 %	$ 13,500
Loan Amount	$ 121,500	
Interest Rate (% per year)	8.0 %	
Term of Loan (years)	30	
Settlement Fees		
Origination Fee	1.0 %	$ 1,215
Discount Fee	$ %	
Closing Costs & Misc. Fees	0.5 %	$ 608
Total Cash Outlay		$ 15,323
The Loan		
Monthly payment (principal & interest)*	$ 892	
PITI (principal, interest, tax, insurance)	$ 975	

INVESTMENT ANALYSIS - Settlement Fees paid by Buyer

Cash Outlay	$ 15,323	
	Monthly	**Annual**
Total Operating Income	$ 1,282	$ 15,384
Less: Total Operating Expenses	$ 184	$ 2,208
Net Operating Income	$ 1,098	$ 13,176
Less: Loan Payment (principal & interest)	$ 892	$ 10,704
CASH FLOW	$ 206	$ 2,472
CASH ON CASH ROI**		16.1 %

INVESTMENT ANALYSIS - Settlement Fees added into loan amount

Cash Outlay	$ 13,500	
	Monthly	**Annual**
Total Operating Income	$ 1,282	$ 15,384
Less: Total Operating Expenses	$ 184	$ 2,208
Net Operating Income	$ 1,098	$ 13,176
Less: Loan Payment (principal & interest)	$ 905	$ 10,860
CASH FLOW	$ 193	$ 2,316
CASH ON CASH ROI**		17.1 %

What's the Potential? Rating Opportunities

Now that you've done an analysis with Rich Dad's Real Estate Evaluator™, you can begin looking for what can be done to increase the value of a given property. Where is the "win," or the upside, in this property for you as the buyer? Can you increase the income? Lower the expenses? Can you improve the value with some simple fixing up? Can you build additional units on the property? This is where you can get very creative. How can you best optimize this property? If you have some answers, then you may have a deal in the making.

Use the following checklist to evaluate potential opportunities; refer to the explanations below for more information. Rate each opportunity—and any others you can think of—as to whether it will have a positive, negative, or neutral effect on the property's cash on cash return. The more positive check marks, the better. In some cases, you'll want to calculate the actual dollar amount and factor it into a revised analysis to see if the opportunity is financially worthwhile.

Rich dad said: "There are no absolute good or bad numbers on a pro forma. A pro forma is simply a forecast of the future."

Important Note: Solving the Problem

One of the keys to increasing the value of any property is to find the problem of the property and solve it. For example, if the vacancy rate is high, how can you reduce it? That will immediately increase the value of the property. There's a story of a property that no one would touch because it was infested with pigeons. Once someone figured out how to solve that problem and got rid of the pigeons for good, the value of that real estate jumped. It's not uncommon for properties to belong to out-of-state owners who are not paying adequate attention to such factors as needed repairs, poor vacancy rate, undesirable tenants, etc. By simply putting new and attentive management in place, you'd likely turn things around and end up with a very profitable asset. Remember, your job as a property owner is to uncover the problem and solve it.

Financial Issues

Income | Can the rents be increased? Can the vacancy rate be lowered? Are there other income-generating items that can be added, such as vending machines or laundry facilities? Is there an entertaining or meeting area that can be rented out to tenants? What if you were to set up several computers where tenants could get onto the internet for a fee? How can you increase the income of the property?

Expenses | How can you reduce the expenses of this property? Is the owner paying for the water usage? If so, you may be able to charge a portion of the water bill back to the tenants. This is known as sub-metering or instituting a RUBS program. Simplified this means charging tenants X amount for utilities a month regardless of what their usage is. The same holds true for the electric bill. Are the real estate taxes in line? It is a simple process to "protest" the property taxes and have them reduced if the taxes are higher than they should be. Shop around for insurance. Review the service and vendor contracts. How is the management of the property being handled? Is there a more efficient way to manage the property?

Financing | The plus here could be twofold. First, if there is existing financing on the property that you can take over or assume, you might be able to save a good deal of time compared with applying for a new loan. Typically the qualifying process is much simpler and faster. The same holds true if the seller is willing to carry some of the debt on the property. In this case the seller becomes the "bank" and you pay the seller the monthly loan amount with an agreed-upon interest rate. Secondly, the interest rate on the existing loan may be less than you can currently get for new financing.

Amenities | The opportunities checklist will give you a sample of ideas to consider when evaluating a property. For example, although a pool may be a nice addition, how often is it actually used by the tenants? How much savings will you incur if you filled in the pool and replaced it with nice landscaping—or better yet, storage units that tenants could rent from you? By adding other amenities such as ceiling fans, new carpet, internet access, or a security system, you can justify a higher rent.

Physical Plant | What can be physically added or changed to the property itself to increase its value? Is there room to build additional rental units? Can you build storage units (as mentioned above) that could be rented out to tenants? Can the property be divided up (subdivided) and a portion sold off separately to put cash back in your pocket? Can you change the way the property is being operated to make it more profitable—for

instance, change it from a vacation rental to a long-term rental? Change it from student housing (which typically is vacant during the summer months) to non-student housing?

The City | How is the property zoned? Zoning dictates what can and cannot be built on a piece of dirt. Become familiar with your local zoning process by attending local planning commission meetings. You may be able to have your property re-zoned (for example, from single family to multiple tenant, or from a two-story building to a three-story building), which could open up opportunities for increasing the value.

Take note of any future changes to the master plan of the community. Many cities are adding light-rail transportation. If your property has easy access to good public transportation, that could make the location attractive to your tenants. Is the area part of a city improvement project? If so, this could add tremendous value.

There are also numerous city programs that will lend at low interest rates or give property owners money to improve their properties. Check with your local city government for the programs available in your area that you may be able to take advantage of.

OPPORTUNITIES CHECKLIST

		Plus	Minus	Neutral
FINANCIAL ISSUES	Price—property is undervalued	☐	☐	☐
	Income:			
	Rents are below market	☐	☐	☐
	Additional income-generating items:			
	_____	☐	☐	☐
	_____	☐	☐	☐
	_____	☐	☐	☐
	Expenses:			
	Items that can be lowered:			
	_____	☐	☐	☐
	_____	☐	☐	☐
	_____	☐	☐	☐
	Financing Terms, available?	☐	☐	☐
AMENITIES	Improve or add security system	☐	☐	☐
	Improve signage for drive-by visibility	☐	☐	☐
	Exterior paint	☐	☐	☐
	Exterior lighting	☐	☐	☐
	Pool – fill in, add or improve	☐	☐	☐
	Additional landscape	☐	☐	☐
	Awnings	☐	☐	☐
	Add covered parking	☐	☐	☐
	Add driveway	☐	☐	☐
	Air conditioning units	☐	☐	☐
	Interior additions (paint, carpet, fans, etc.)	☐	☐	☐
	Other_____	☐	☐	☐
PHYSICAL PLANT	Build additional units	☐	☐	☐
	Build storage units	☐	☐	☐
	Subdivide the property	☐	☐	☐
	Change how building is operating	☐	☐	☐
	Change the unit mix	☐	☐	☐
	Other_____	☐	☐	☐
THE CITY	Change in zoning	☐	☐	☐
	Change in master plan	☐	☐	☐
	Future infrastructure	☐	☐	☐
	City improvement program area	☐	☐	☐
	Government programs available?	☐	☐	☐
	Other_____	☐	☐	☐

THE NO. 1 PROBLEM TO SOLVE ON THIS PROPERTY IS: _____

Let's Make a Deal!

Once you've evaluated potential opportunities using Rich Dad's Real Estate Evaluator™, it's time to zero in on the properties that you want to pursue. You need to do a bit more research, but you've also got to avoid "analysis paralysis" and go for it.

It's often important to move fast or else while you're still checking out the deal, the deal will be picked up by another buyer. Plus, you'll function more efficiently overall, wasting less time over trivialities and honing your decision-making skills. You'll have more time to make more deals—and that means more money! Best of all, as you'll learn in the next section, you won't be taking as much of a risk as you think.

Let's recap...

- You've received pro formas on many properties.
- You've eliminated some and decided to move forward on others.
- You've analyzed those properties using Rich Dad's Real Estate Evaluator™.
- You've identified opportunities on certain properties.

And Now...It's Time to Ask a Few Questions

Now that you have reviewed the numbers, you're bound to have questions. If you have access to the seller then ask the seller. Ask the broker. Ask the property manager if there is one. A good manager can provide a wealth of information. One word of warning: You don't need to know everything about the property at this stage. That will come in your "due diligence" period after you have an accepted offer with the seller. Again, don't get caught up in analysis paralysis.

Make an Offer and Tie Up the Property

Many people believe the next step is due diligence—before they make an offer. Due diligence, a detailed analysis of the property, takes time and effort. And if it's a really good deal, time may not be on your side. Instead, go ahead and call the broker or the seller and say you're ready to make an offer. It costs you nothing to make an offer. The purpose of an offer is to see if the seller is serious. Once you have an accepted offer, which must include escape clause contingencies, you've now successfully tied up the property and that has bought you time to look into the property in depth. That is when you begin your due diligence. If in the due diligence process you don't like what you see, you can cancel the contract based on the contingencies, or propose a change in the offer. You don't risk

anything by making offers first. It saves you a lot of time—and avoids lost deals.

QUESTIONS TO ASK

Who owns the property? an individual, or a corporate entity? _____

How long has the property been on the market? _____

Why is the owner selling? _____

Are there any liens or assessments on the property? _____

What can you tell me about the property? _____

What is the upside? _____

What is the downside? _____

Have offers been made on the property? If so, why were they not accepted? _____

Who are the tenants? singles, young families, older people? _____

Is there deferred maintenance? _____

Are you aware of problems with the property? Any environmental concerns? _____

What type of financing is available? _____

What do you know about the real estate market in this neighborhood? _____

What do you see happening in this area in the future? _____

If you, the broker, were going to buy this property, what would you do with it? _____

Definitions you'll need to know

Appraisal | An estimate or opinion of the value of a property by an impartial person skilled in the analysis and valuation of real estate in a particular market.

Contingency | A condition in an offer sheet or contract that must be met before the deal can go forward.

Counter offer | A response to an offer to purchase a property that introduces new or different terms and conditions.

Due diligence | A research and verification process that provides accurate and in-depth information regarding the physical, financial, and legal attributes of a property.

Real estate purchase contract | Also known as an agreement of sale, a legally binding agreement between buyer and seller stipulating the terms and conditions of the sale of a property.

Chapter 6

DOING THE DEAL

How Do I Make Offers—and What Happens When They're Accepted?

If you've followed the Rich Dad process and the 100-10-3-1 Rule, you've now found at least 10 properties that look like good deals—if you can get the right price and terms. Now you're ready to make offers! If you're like most people starting out, you're probably nervous about this part of the process. Don't be. In real estate there are universally accepted written documents and procedures that outline the conditions and terms of any sale. These mechanisms make the offer process—including any back-and-forth negotiating with the seller—much easier than you might think.

In this section, you'll learn what constitutes "making an offer" and how offers are presented. You'll learn how to use a formal contract, which is a written offer to purchase a property at a specified price and under specific terms. The contract becomes legally binding when it is accepted in writing by both parties and all the stipulated conditions have been met. Consult your real estate advisory team to ensure that you are using the appropriate form.

This section also covers tips on negotiating if your first offer on a property isn't accepted, and what to do next when you do have an agreement. Due diligence is an all-important part of the process—your assurance that everything about the property and the numbers is as it seemed to be when you signed the contract.

If it isn't, properly drafted contingencies can get you out of the contract—or get you an even better deal!

Rich dad said: "Negotiate with your calculator, not your heart."

How Do I Make an Offer?

Making offers on investment properties doesn't have to be complicated. In fact, it can be quite easy. Your real estate agent or broker's job is to complete the required paperwork and spearhead the process. If you're not using a broker or agent be sure you comply with all applicable real estate laws.

Remember, rich dad always said, "Investing is a team sport." If you intend to become a real estate investor you will want a strong team of real estate advisors.

Writing Up the Offer

Writing up a contract for purchase is, in essence, a fill-in-the-blanks exercise.

Here are some key points to consider:

Who Is The Buyer? | As a real estate investor, you'll want to carefully consider how you hold the title to your property. Many are held in the name of limited partnerships (LPs) or limited liability corporations (LLCs).

Don't Make Assumptions | That crystal chandelier may not come with the house. If you want it, be sure to put it in your offer.

Earnest Money | When making an offer, it's a good idea to attach a check for your deposit, or earnest money, to the offer. This lets the seller know that you're serious about the property.

Legal Description | Make sure the legal description in your contract is accurate. (Make sure you know what you're buying.)

Financing | Remember that just stating a proposed financing structure in your offer doesn't qualify as a contingency for securing financing.

Maintenance Warranty | It's not uncommon for the seller to pay for a maintenance warranty. That may include coverage of major appliances, electrical, plumbing, and air conditioning, usually for one year from date of purchase.

What are Contingencies?

Contingencies should be clearly specified in every contract. They put the seller on notice that you will be looking carefully at specific items pertaining to the agreement and that your final decision to buy is based on those findings. Here are some examples of contingencies found in real estate purchase contracts.

This offer is subject to:

- Review and acceptance of all financial records.
- Examination and acceptance of existing leases.
- Obtaining clear title to the property.
- Satisfactory inspection of the property.
- Securing financing acceptable to buyer.
- Partner's approval.

You may also be more specific and tailor your contingencies to special circumstances, such as:

This offer is subject to:

- Inspection for cracks in the swimming pool.
- All units being rent-ready at the time of sale.
- Parking lot size is compliant with local regulations.

REMEMBER | Contingencies are for your protection. They ensure that you get what you paid for. Remember to follow the release dates specified in the contract for contingencies to prevent jeopardizing the deal.

Rich dad said: "Your ability to write just about anything into a real estate contract is one of the most overlooked and underrated advantages of real estate investing."

What's Next?

Now that you've submitted your offer, the seller can:

Accept the offer | If the seller accepts the offer, it's time to move on to the next phase—due diligence.

Reject the offer | If the seller rejects the offer, you may consider the deal to be dead or you can rewrite it to make your proposal more attractive.

Come back with a counter offer | If the seller counters your offer, you may take on further negotiations. You can do this either by writing and initialing your changes on the contract, or by adding a separate sheet, or addendum. If the buyer and seller negotiate an agreement through counter offers, the deal can then move forward to the due diligence stage.

Tips on Successful Negotiating

The best offers—and thus the best deals—are those that make both parties happy. Remember, the bottom line isn't what you buy the property for, but how good the property's cash flow is.

Have a maximum figure, a figure you will not go above, in mind before you begin negotiating. When you reach that figure you'll either need to pull out of the deal or get other concessions to make the purchase of this property economically feasible.

Find out what the seller paid for the property. An owner will be more inclined to negotiate the price of a property when it affects the profit only.

Round up when you make the offer. An offer of $200,000 may not seem much higher than $199,000, but psychologically it will appear higher and may make the seller look more favorably on your offer.

Be patient. Listen to what the seller is saying. You can learn a lot from just talking to the seller.

Be prepared to compromise. Instead of being adversarial, focus on your top priorities and don't let your emotions get in the way.

Don't fall in love with the property. You must be ready to walk away from the deal if you cannot come to a favorable understanding with the seller. You're in this deal to make money.

It's always a good idea to treat the seller with respect and dignity. You may be on opposite sides of the table now, but that seller may be the source of additional properties in the future.

Due Diligence Is This Property Really Worth the Price?

You've got the property under contract. Time to celebrate, right? Not so fast. It's time to examine the contingencies you added to the contract, as well as answer any other questions you may have. It's crucial to remember: You agreed to this purchase based on estimated operating data. In addition, you may not even have had a chance to carefully examine the property. You've signed the contract: Now you get the opportunity to study what you're buying.

To make sure that you've covered all your bases, and that you accomplish your due diligence in an organized and timely manner, you'll need a checklist. The checklist on the following pages is a guide—use it as it is, or modify it as needed. Remember, if you have questions about the property, call in your team—your lawyer, accountant, and building experts—and let them help you. Through proper due diligence, you can ensure that the deal you've made is a good one.

Two of the most important items included on the due diligence checklist are:

Property Inspection | You can hire a professional property inspector, or you can do it yourself. Unless you're an expert in building construction and maintenance, you really should hire a professional. Ask for referrals from your broker, property manager or other real estate investors. Most local and state governments do not publish guidelines nor require licenses for property inspectors, but you can contact the American Society of Home Inspectors, Inc., at their web site: www.ashi.org.

Note | This is a home inspection organization and does not include commercial inspectors. If the property you are buying is an apartment building, you'll need someone experienced in inspecting larger properties. Be sure that you ask any home inspector or home inspecting firm if they do inspections of larger properties, and if they do, at what level. If you cannot find an inspector with this qualification, find a local contractor with experience in the type of property you're buying.

Appraisal for Financing | The seller may already have done an appraisal. However, you will want to do your own because you need to be sure that there are no hidden problems with the property that might affect its value. Also, your lender will want assurance that the selling price of the property is greater than the principal amount of the loan. The appraisal will accomplish both. Your lender will probably already have an appraisal firm that they use, but if you want to hire your own, be sure that they have attained, through formal study and examination, a designation awarded by the Appraisal Institute 550 W. Van Buren St., at their web site: www.appraisalinstitute.org.

Rich dad said: "The words 'due diligence' are two of the most important words in real estate investment."

DUE DILIGENCE CHECKLIST

Here's the due diligence checklist that Rich Dad uses:

- [ ] Property inspection report
- [ ] Appraisal for financing
- [ ] Current rent roster with paid to dates
- [ ] List of security deposits
- [ ] Mortgage payment information
- [ ] Personal property list
- [ ] Floor plans
- [ ] Insurance policies
- [ ] Maintenance/service agreements and copies of surviving guarantees and warranties
- [ ] Tenant information: leases, applications, profiles, or surveys
- [ ] Vendors and utilities with account numbers
- [ ] State of structural alterations to premises
- [ ] Surveys and engineering documents
- [ ] Commission agreements
- [ ] Rental or listing agreements
- [ ] Easement agreements
- [ ] Development plans: architectural, structural, mechanical, electrical, and civil drawings
- [ ] Governmental permits or zoning restrictions
- [ ] Management contracts
- [ ] Tax bills and property tax statements
- [ ] Utility bills
- [ ] Cash receipts and disbursements journals
- [ ] Capital expenditure records for the past five years
- [ ] Income and expense statements for two years prior to the submission date
- [ ] Financial statements and state and federal tax returns
- [ ] Termite inspection
- [ ] Seller/ownership information
- [ ] All seller's property records and documents pertinent to the ownership, operation, or maintenance
- [ ] Market surveys or studies of the area
- [ ] Construction budget or actuals
- [ ] Work-order files
- [ ] Bank statement for two years showing operating account for property
- [ ] Certificates of occupancy
- [ ] Title abstract
- [ ] Phase 1 Environmental Audit (if exists)

PROPERTY INSPECTION CHECKLIST

Address of Property:

_____

_____

_____

Unit# (if apartments) _____

Tenant Notes:

CONDITION		BAD	AVERAGE	GOOD
Exterior:	Doors	☐	☐	☐
	Carport/Garage/Driveway	☐	☐	☐
	Air Conditioner	☐	☐	☐
	Brick	☐	☐	☐
	Paint	☐	☐	☐
	Siding	☐	☐	☐
	Landscaping	☐	☐	☐
	Sidewalks	☐	☐	☐
	Windows	☐	☐	☐
	Storm Windows	☐	☐	☐
	Walls/Fences	☐	☐	☐
	Roof	☐	☐	☐
	Drainage	☐	☐	☐
Interior:	Air Conditioning Unit(s)	☐	☐	☐
	Heater	☐	☐	☐
	Electrical	☐	☐	☐
	Plumbing	☐	☐	☐
	Gas	☐	☐	☐
	Water Heater	☐	☐	☐
	Washer	☐	☐	☐
	Dryer	☐	☐	☐
	Drapes/Blinds	☐	☐	☐
	Smoke Detectors	☐	☐	☐
	Paint/Wallpaper	☐	☐	☐
	Doors	☐	☐	☐
Kitchen:	Cabinets	☐	☐	☐
	Counters	☐	☐	☐
	Stove	☐	☐	☐
	Refrigerator	☐	☐	☐
	Dishwasher	☐	☐	☐
	Garbage Disposal	☐	☐	☐
	Faucet	☐	☐	☐
	Sink/s	☐	☐	☐
	Flooring	☐	☐	☐
	Paint/Wallpaper	☐	☐	☐
Bathroom/s:	Cabinets	☐	☐	☐
	Floors	☐	☐	☐
	Shower/Tub	☐	☐	☐
	Toilet	☐	☐	☐
	Vanity	☐	☐	☐
	Shower Door/Curtain Rod	☐	☐	☐
Bedroom 1		☐	☐	☐
Bedroom 2		☐	☐	☐
Bedroom 3		☐	☐	☐
Living Room		☐	☐	☐
Other Rooms		☐	☐	☐

Chapter 7

FINANCING THE DEAL

How Do I Get a Loan?

One of the great advantages of real estate is, of course, leverage—using other people's money to make money for you. And it all starts with how you finance the deal on the property you've now got under contract. Financing investment real estate can seem like a daunting proposition: talking to lenders, comparing interest rates, getting together all the paperwork necessary to apply for a loan. But, if you break it down and take your time, it's pretty straightforward.

Sometimes in the world of loans and financing, it seems like jargon is king. So this section begins with two full pages of definitions that will help you understand the terminology. Then you'll learn where money for real estate financing comes from—it's not just banks! The section goes on to explain the different kinds of mortgage loans that are available and explains the advantages and disadvantages of each, according to rich dad's principles. You'll also learn what you need to do before you go in search of a loan, and how to evaluate the professionals—such as mortgage brokers—you'll be working with.

By the end of this section, you'll know exactly what you need to do to finance your deal, from preparing yourself and your paperwork, to finding the right lender and securing the best financing.

Rich dad said: "You want your money to work for you.
But even better is to have other people's money do the work!"

Definitions you'll need to know

Adjustable rate mortgage | A mortgage loan where the interest rate changes periodically over the period of the loan. The rate is usually lower than for fixed rate mortgages, so these loans are often initially more affordable. But they come with the risk that the interest rate will increase.

Amortization | Gradual repayment of a debt by periodic installments that cover both the principal and interest.

Annual Percentage Rate (APR) | The effective rate of interest for a loan. The APR reflects all the costs of financing—including points, origination fees, and other finance charges—and is usually higher than the interest rate alone.

Assumable loan | An existing loan on a property that the seller is able to pass on to the buyer. Interest rates on assumable loans are often lower than the going rate, making them an attractive feature of a deal.

Balloon loan | Mortgage loan in which the remaining amount is fully due and payable at a specified, predetermined date. Balloon loans usually have a better interest rate, but you'll have to be prepared to pay the remaining balance of the loan in full at the specified time.

Cap | The limit on the amount of an increase (usually 2%) charged by a lender under the terms of an adjustable rate mortgage. Caps protect the borrower from large, unexpected interest rate increases.

Conforming loan | A commercial real estate mortgage loan that is eligible for purchase by the Federal National Mortgage Association and the Federal Home Loan Mortgage Corporation.

Conventional mortgage | A loan arranged between lender and borrower that is not covered by governmental guarantee or insurance.

Credit report | An assessment, provided by a local retail credit association, of an individual's ability to repay debt.

Department of Veterans Affairs | Previously known as the Veterans Administration, the federal governmental agency that administers GI and VA loans.

Down payment | Cash paid by the buyer at settlement, representing a percentage of the purchase price. Different types of loans may require different percentages of down payment.

FHA (Federal Housing Authority) | An agency of the U.S. Department of Housing and Urban Development that administers loan programs designed to make more housing available.

FHA mortgage | A loan made by a local lending institution that is insured by the FHA.

Fixed rate mortgage | A mortgage loan whose interest rate is fixed for the entire term of the loan. The most common are 15-year and 30-year fixed rate mortgages. The interest will usually be higher than that of an adjustable rate mortgage, but it won't ever go up.

Interest | The amount, expressed as a percentage of the total, that a lender charges a borrower for a loan.

Loan servicing | The paperwork involved in handling mortgage loans.

Loan-to-value ratio | The amount of a mortgage loan compared to the value of the property purchased. A $100,000 house with a loan of $80,000 has an 80% loan-to-value ratio.

Maturity | The date when a loan is due in full.

Mortgage | A written agreement that gives the lender an interest in the property as security for a loan.

Origination fees | Charges to a borrower to cover costs associated with issuing the loan, including credit checks, title search expenses, and home appraisal.

PITI | Abbreviation for principal, interest, taxes, and insurance. The acronym is used to describe what is included in the monthly repayment of a mortgage loan.

Point | One percent of a mortgage loan amount. A point is an additional charge by the lender at the time of loan origination as a placement or service fee.

Private mortgage insurance (PMI) | Insurance against default issued by a private company on conventional mortgage loans. Such insurance is usually required when the loan-to-value ratio is more than 80%.

Prepayment penalty | A fee charged to the borrower if the loan is paid off early.

Savings and Loan Associations (S & Ls) | Banking institutions specializing in originating, servicing, and holding mortgage loans.

Term | The period of time until a loan must be repaid.

Underwriting | The formal approval or denial of a loan based on the purchaser's ability to pay off the loan and the value of the property as collateral.

Going Conventional—The Most Common Types of Mortgage Loans

Later in this section you'll learn more about government-sponsored loan programs, as well as private party and seller financing. You'll understand these valuable alternatives better if you first get a good grip on conventional loans, the most common type of mortgage loan. Conventional loans are offered by banks, savings and loans, and mortgage companies. They come in two basic sizes: residential loans for up to four units, and commercial loans for five units and up. This section focuses on the residential variety, but as you expand your real estate portfolio, you'll soon move into the commercial category. Don't worry—you'll be an old hand by then!

Conventional loans at a glance—some pros and cons

Traditional 30-Year Mortgage

A loan instrument offering a fixed or unchanging interest and principal payment over the 30-year life of the loan.

PROS

- Certainty of a set payment for 30 years.
- Ability to make extra payments whenever you like to reduce your principal.
- Ability to pay the loan off early without penalty.

CONS

- Inability to take advantage of lower interest rates.
- Larger down payment required for investment loans.

15- Year Mortgage

A loan instrument offering a fixed interest and principal payment over the 15-year life of the loan. (There are also 10- and 12-year mortgages, but they're less common.)

PROS

- Slightly lower interest rate than a 30-year fixed mortgage.
- About 50% less total interest paid over the life of the loan.
- Fixed interest and principal payment.

CONS

- Higher monthly payment.
- Higher qualifying income than the 30-year fixed loan.

Adjustable Rate Mortgage

A loan in which the interest rate fluctuates periodically and payments may go up or down. Restrictive measures, or caps, are specified in the mortgage contract that prevent the payments from increasing or decreasing beyond a predetermined limit.

PROS

- Usually lower qualifying income.
- If interest rates hold steady, the loan could be less expensive over time.
- Most are assumable.
- There is usually no prepayment penalty.

CONS

- Interest rate and payments will probably go up sometime during the life of the loan.
- Predicting interest rates is difficult.

How Do I Find a Lender? Shopping for a Conventional Loan

Get ready to do some shopping. Shopping, for a mortgage? Yes, indeed. If you choose to get your financing through the conventional method—that is, finding a commercial bank, savings and loan, or mortgage banker—you'll have to take the time to carefully survey the market. Just as you shop for other services, you'll be shopping for your real estate loan.

Keep in mind these two important things as you begin your search:

Compare for the best deal | There can be a huge difference among lenders in interest rates and points charged. Comparison-shop and you can be certain you've found the right mortgage for your needs.

Do research on mortgage companies | As in any business deal, you're looking for partners with honesty and integrity who will provide good service—going the extra mile for you. Check with your broker or agent, friends, or colleagues with experience in this area. Also check your local Better Business Bureau to make sure you've found a reputable lender.

When do I begin my search?

You should start thinking about your lender when you begin to think about buying your investment property. You can't actually apply for your mortgage, but you can certainly begin gathering information. Do some basic research so that when it comes time to contact actual lenders, you're prepared to move...and move fast. Remember, the more knowledge you bring to your endeavor, the more likely you are to have a successful outcome. Learning about loans and the loan process is part of your overall financial literacy—take it seriously and start early!

Where should I look for lenders?

Here are a few ideas to help you get started in your search for the perfect lender:

Your real estate broker or agent

It's always a good idea to ask someone you trust. But don't take their word for it—call and check out brokers or agents for yourself.

Mortgage brokers

These licensed agents can be a great help and time saver for the busy real estate investor. They know the lenders—who has the best rates, who has the best loans, and who has the easiest qualifying standards. See the next page for more information on mortgage brokers.

Your local newspaper

Every major metropolitan area has a section each week devoted to the real estate business. You'll find advertisements for mortgage lenders, as well as a list of mortgage rates.

The internet

Use your favorite search engine, type in the word "mortgage," and stand back—you'll get thousands of listings. Look through the categories for commercial banks (such as Citicorp/ Citibank: www.citi.com/mortgage) and mortgage bankers (such as the Mortgage Bankers Association of America: www.mbaa.org).

What's a Mortgage Broker? Your Loan Matchmaker

Mortgage brokers are matchmakers—they match financial institutions with money to lend to investors who want to borrow. They don't use their own money to originate loans; they represent lenders who do that. They can help you narrow your list of suitable mortgage lenders—simplifying the process and helping you understand and take advantage of the best deals on the market. In addition to knowing the conventional market, they should have a broad knowledge of all government-backed loan programs and which lenders participate in them.

A mortgage broker matches your specific needs with a specific lender. For example, if you have a credit problem, they find a lender who is willing to work with you. When you talk to a mortgage broker, be prepared to give him or her the same paperwork you'd give a mortgage banker.

How are mortgage brokers paid?

Mortgage brokers, like real estate brokers, are paid a commission by the lending institutions for each completed deal. The average brokerage commission is $1,500 to $5,000, or anywhere from .5% to 3% of the total loan.

Note | Never pay mortgage brokers a fee for their services (beyond a nominal amount for copying forms and other paperwork). Their job is to find you a loan, and that's when they get paid. Good mortgage brokers don't ask for up-front money.

How do I find a mortgage broker?

- Ask for a referral from your real estate professional or another investor.
- Check out what the National Association of Mortgage Brokers: www.namb.org.
- The internet is a good source.
- Go to your public library and ask for a copy of Thomson's Directory of Mortgage Brokers, published by Thompson Financial Publishing. It lists mortgage brokers throughout the United States.

LENDER INFORMATION WORKSHEET

Here's an information worksheet to help you organize the information you receive from lenders and your mortgage broker. Make several copies of this form so that you can have one for each call or internet search you perform.

Date: _____

Property address: _____

_____

_____

Lending institution: _____

Address: _____

_____

_____

Telephone number: _____

Email address: _____

Web site address: _____

Contact person: _____

Amount of loan: _____

Down payment: _____

Interest rate: _____

Is interest rate locked in: _____

Loan term: _____

Fixed or ARM: _____

Monthly payment: _____

Prepayment penalties: _____

Closing costs: _____

Application fee: _____

Time frame to closing: _____

How Do I Qualify for a Loan? The Three Main Criteria

Underwriting is the process by which a lender determines if you're qualified for a loan. In other words: Are you a good risk? If you're working with a mortgage broker, he or she will help you get prepared. But you'll need to have your financial information in order no matter whether you're working with a broker or going directly to lenders.

Three points a lender will consider are:

- Do you have sufficient income that is stable enough to allow you to make the loan payments on time and in the amount you need for your loan?
- Does your credit report indicate that you have a history of paying your bills on time?
- Does the property you wish to buy provide enough collateral to protect the lender's interest?

Income | How much income do you need to qualify for your investment loan? Here's where the work you did earlier pays off: By having an up-to-date personal financial statement, you're ready to present the lender the appropriate information. Lenders will want to know several specific things to qualify you for the loan, so you'll need to do a little additional figuring beyond your financial statement.

Your mortgage broker or the lender may provide you with a pre-qualification form for these numbers. Gather the following information:

- The lender will want to see that you'll have enough money left over, after your monthly payment, for your living expenses plus reserves for emergencies that might occur. Use the information on your financial statement.

- Conventional investor loans usually require a loan-to-value ratio of 80% or lower, meaning the amount of the loan can't be more than 80% of the property's value. In other words, when purchasing the property, you'll likely need a down payment of at least 20%.

- Your qualification for the loan depends on the ratio of your income to your housing costs (your PITI, or principal, interest, taxes, and insurance) and to your

overall debt. Most lenders use a ratio of 28% housing costs and 36% debt. Simply put, your housing costs should represent less than 28% of your income, and your payments for all debts (including things like car loans) should not be greater than 36% of your income. Use your financial statement and the figures you've gathered on the amount of the loan payment.

Credit | Do you need a perfect credit history to purchase investment properties? No, but good credit certainly expands your purchase possibilities. Without good credit, you may be limited to assumable loans or private financing for your investments.

A lender—and a mortgage broker—will look at your credit history with the following in mind:

Can you repay the debt? Is your income enough to repay the debt in a timely fashion? Creditors will want to know your occupation, employment history, level of education, and amount you earn. In addition, they'll examine your expenses, including car payments, alimony and child support, number of dependents, credit card debts, etc.

Will you repay the debt? Does your credit history indicate good character and stability? Lenders will look at how much you owe, how often you borrow, if you pay your bills on time. They'll also examine your "flight" risk: How long have you lived at your current address, how long have you been employed, do you rent or own your home?

If you don't already have a copy of your credit report, get one. You can obtain a free credit report at annualcreditreport.com. It's important to get your own credit report, because they can and do contain errors, and you'll want to get those straightened out before you talk to lenders. Also, your mortgage broker or lender by law can't discuss your credit report with you unless you've obtained a copy of the report yourself. If you do get a copy, a mortgage broker, in particular, may be able to help you resolve problems and get your credit in shape.

Note: It's against the law for a lender to discriminate against a borrower on the basis of age, gender, marital status, race, color, religion, national origin, or because you receive public income. You also cannot be denied a loan based on the fact that you have questioned a

billing or disputed a claim against you. It's important to know your rights and be ready to raise a red flag if you feel you've been discriminated against.

Collateral | Is the lender protected if you don't pay? Is your collateral enough to cover the loan? In mortgage loans, the primary collateral for the loan is the property. A lender must be assured that the value of the property will cover the amount of the loan if the buyer defaults. The value of the property as collateral is set by the appraisal, which reports the market value of the property at a specific point in time. The appraisal must be reported in writing by a qualified state licensed or certified appraiser, who may be either an employee of the lender or an independent contractor.

What happens if the appraisal is low? If the market value appraisal is at or above the agreed contract price, the loan process can continue. But if it comes in below, the lender may not agree to your proposed loan amount. If this happens, immediately ask for a copy of the appraisal document. You can also ask for a new appraisal. Carefully examine the document to discover why the appraisal was low, then provide information and figures that might justify the higher price. Remember, a large part of any appraisal is affected by the individual appraiser's opinion. Learn to work with your lender, mortgage broker, and the appraiser to protect yourself and your investment against faulty appraisals.

Non-recourse | In certain cases your investment property may qualify for a non-recourse loan where the lender will look solely to the income and expenses of the property for repayment of the debt. You would not be personally liable for the debt.

When applying for a conventional loan, you'll need most, if not all, of the following information. You'll see that much of it comes from your personal financial statement.

Purchase Contract and Property Information

- Completed copy of sales contract
- Mailing address and property description
- Contact information for access to property
- Purpose of the loan and what the property will be used for (if you won't be living in the property and it's for generating income, the answer is "investment")
- Title information
- Source of down payment, settlement charges, and any additional financing

Personal Information

- Name of borrower(s)
- Current address (if less than two years, provide previous addresses)
- Social security or Federal ID number(s)
- Home or business telephone numbers, age, level of education, marital status, number and age of dependents
- Current housing expenses (rent, mortgage, insurance, taxes)
- Name and address of landlord/mortgage holder (past two years only)

Employment Information

- Two years of employment
- Recent pay stubs and two years of W-2 forms
- Complete tax returns and financial statement, especially if self-employed
- Written explanation of employment gaps
- Record of dividends and interest received
- Proof of other income (child support and alimony are included here)

Assets

- Complete information for all bank and money market accounts
- Two months of bank statements
- Current values of stocks, bonds, mutual funds, and other investments
- Vested interest in retirement funds
- Value of life insurance
- Information on cars: payments (if any)
- Information on real estate you own: address and current market value, debt owed on properties, lender's name, address, account number, monthly payment, and current balance owed; copy of previous two years of federal income tax returns; a copy of all leases (if rental property)
- Value of significant personal property

Liabilities and Debts

- Itemized listing of all debts: loans, credit cards, other bills
- Written explanation of credit problems
- Details of bankruptcy within the past seven years, handwritten explanation of reason for bankruptcy, and evidence of good credit rating since the bankruptcy

What Other Loans Can I Get? Alternative Financing Sources

Sometimes you need to seek alternative loan sources because you don't meet the qualifications for conventional loans. But an alternative source might also be something you choose because it gets you a better deal.

There are three basic possibilities: government-sponsored loans, assumable loans, and owner or private party financing.

Government-sponsored Loans

Many government loan programs support home ownership for low to moderate income families. The two main government agencies sponsoring these programs are the Federal Housing Administration (FHA) and the Department of Veterans Affairs (VA). It's important to note that these programs are available for owner-occupied residences only. Why, then, are they included here? One of the best ways to get into the real estate investment business is through the back door: by renting out your own home, then buying another one with a low cost, low down payment FHA or VA loan.

FHA (Federal Housing Authority) loans

The FHA insures against losses on real estate loans made by private lending institutions. Established in 1934, the FHA has insured millions of mortgages. Though deeply affected by the economic recession in the 1980s, it has made a strong recovery and is now in an even stronger position in the industry. The FHA administers many different programs that change over time; your lender or mortgage broker will be able to help you match up with those programs that specifically suit your needs.

PROS

- Lower interest rate
- Lower down payment
- Easier qualifying requirement
- Assumable loans

CONS

- Must be owner-occupied
- Maximum loan amount relatively low
- How can I contact FHA directly? You can find them on the web at www.federalhousingauthority.com or at www.hud.gov and click on the FHA button.

VA (Department of Veterans Affairs) loans

In 1944, Congress approved what is commonly known as the GI Bill of Rights. Among the benefits of this legislation was a program whereby veterans could obtain no down payment loans that were guaranteed by the government; by the year 2000, the government was guaranteeing loans up to $203,000. Of course, the borrower has to be a veteran or a veteran's dependent (or, with some provisions, the unmarried widow or widower of a veteran).

PROS

- Lower interest rate
- No down payment
- Easier qualifying requirement
- Assumable loans

CONS

- Must be a veteran or the dependent of one
- Relatively low maximum guarantee amount
- Must be owner-occupied
- Not assumable by a non-veteran

How can I contact the VA directly? The Department of Veterans Affairs administers state and local offices. Check out the web site at: www.homeloans.va.gov.

Assumable loans

Assumable loans are loans that are already in existence and that can be taken over, or assumed, by the person purchasing the property. In other words, the purchaser can pick up the loan rather than have to find new financing. There can be fees attached to assumable loans, but they are usually smaller than those incurred with a new loan. In some cases, the buyer doesn't even have to qualify for the loan—but be sure to read the fine print before assuming that this is the case. As for the difference between the amount of the loan and the purchase price, the seller and buyer will have to make arrangements for the purchaser to either pay in cash or finance this difference. In many cases the seller may be willing to finance the amount; if not, it's up to the purchaser to find the money.

PROS

- Lower interest rate (usually)
- Lower closing costs
- No loan qualification process (sometimes)

CONS

- Assumption fee

Owner and private party financing

These are loans not made by conventional lending institutions, but by private individuals. They may be made by people you know, your parents or a relative, private investors, or more commonly, by the sellers themselves. This can be an excellent way to finance a purchase, but be careful. You must protect yourself with a written document outlining the amount and terms of the loan. This is one of the situations where you should consult a lawyer before signing anything! Take no risks, and be sure all the papers are in order.

PROS

- No lending fees
- Low to zero down payment
- Favorable terms
- No qualifying necessary

CONS

- You must be sure that the contract is legal, and that all your interests are addressed and covered in the loan documents.

Definitions you'll need to know

Closing | The process by which ownership of a property passes from the seller to the buyer. Also known as "settlement," closing includes the delivery of a deed, financial adjustments, the signing of notes, the disbursement of funds necessary to complete the sale, and appropriate recording of documents.

Closing Agent | A third-party agent of your choosing (an attorney, escrow agent, representative of the title company, or a professional closing agent), who handles all aspects of the actual transaction.

Estoppel Certificate | A written statement by each tenant outlining the amount of rent being paid and whether any concessions have been promised to the tenant during the rest of the term of the lease.

RESPA | Consumer protection legislation designed to guard homebuyers from unnecessarily high closing costs. The act, requiring a uniform settlement form (which can be modified under specific circumstances) to be used nationwide, has helped standardize closing costs across the United States.

Chapter 8

CLOSING THE DEAL

What Do I Need to Know?

You've got a contract and you've arranged for financing. The next step is settlement. Chances are you've been through a settlement before, probably when you bought your own home. Especially the first time, it can be a bewildering experience. Buyers and sellers are expected to sign piles of documents, many of which contain lots of legal terminology. You may also be writing a few checks to pay closing costs and other fees. It helps tremendously if you're prepared and know what's coming.

Settlement for the real estate investor is almost exactly the same as it is for the homebuyer. The only significant difference is if the property you're buying is already occupied by a tenant or tenants.

> "Do your homework BEFORE you go to closing so that you can achieve the best possible outcome from the transaction."

In this section, you'll learn what to expect during settlement, what you should bring, and what specific tenant-related details make settlement for real estate investors different. If you have any questions after reading this section, you can learn more from the U.S. Department of Housing and Urban Development, which has established guidelines for the closing process. Contact HUD at 451 7th Street, SW, Washington, DC 20410 or call (202) 708-1112. You can also check out the excellent HUD web site at www.hud.gov. It's filled with excellent information, including the HUD pamphlet Settlement Costs, and a copy of the Settlement Statement Costs. Some states have special regulations relating to settlement. Be sure to ask your agent or the closing agent if there are any special rules of regulations in your state.

Before Closing What to Do to Get Ready

Settlement itself will be orchestrated by the attorney or closing agent or by the title company. Your main responsibilities occur in the weeks before settlement. You'll work closely with your broker or agent—and with the closing agent you hire—to accomplish several important steps. Follow the checklist below.

Pre-closing checklist

Select a closing agent and set the closing date | Check with your broker or agent about finding a good closing agent, or follow the process you used to hire other members of your team. Your contract probably stipulates a closing date, but it's not unusual for it to be changed. A lot of work must be done prior to closing, so talk with the closing agent to be sure you've got enough time.

Make sure your financing is in order | You'll need to be sure that everything is in good order before you go to closing. Keep on top of the loan process—call the lender or your mortgage broker to check on the status of your loan.

Check out your closing costs | The law requires your lender to give you a good faith estimate of your closing costs (see opposite). Shortly before the settlement date, you'll be told exactly how much money you'll owe so that you can get a bank check or certified check. Personal checks are usually not acceptable.

Check with your closing agent to find out exactly what you'll need to bring to settlement | This is the time to gather all relevant paperwork and necessary identifications that may be required at closing.

Get a survey and inspection | A survey identifies the property and verifies zoning and the location of boundaries. The inspection—usually part of the due diligence process—is necessary to verify that any conditions represented in the contract have been corrected.

Review the contract and check dates | Make sure you go over all the contingencies from the contract and see that they have been met by the date specified.

Perform a title search and acquire title insurance | You'll need a report by a title insurance company, which reviews the history of the property and ensures that no one other than the seller has claims on it. In addition, you'll be required to obtain title insurance to protect you and your lender against undiscovered encumbrances.

Get homeowner's insurance | Required by most lenders, this policy protects the property and contents from fire, theft, and other disasters.

Take a final walkthrough | Fully inspect the premises and make sure that the seller has completed all necessary repairs that were outlined in the contract.

What are Closing Costs?

Closing costs are the expenses incurred in the completion of a real estate transaction. The amount varies from state to state; check with your broker about what you should expect. Your certified check should be made payable to the settlement agent handling the closing. Here are the elements that make up the closing costs and who pays what:

Buyer Pays

- Balance of the down payment
- Title search
- Title insurance
- Survey fee
- Buyer's attorney fees
- Lender's attorney fees
- Loan origination fee or loan discount (also known as points)
- Charges for recording the deed
- Charges for recording the mortgage
- First month's interest on the mortgage
- Escrow deposit to cover accrued real estate taxes
- Credit report
- State and local transfer taxes

Seller Pays

- Seller's attorney fees
- State stamp tax
- Tax for deed
- Broker/agent commission
- Termite repairs
- Tenant deposits

What's Proration?

Since most closings don't conveniently occur on the last day of the month, some expenses and closing costs—and, if tenants are already in place, rental income—must be divided between the seller and the buyer for the partial month during which settlement occurs.

These items usually include:

- Real estate taxes
- Mortgage interest
- Insurance premiums
- Rental income
- Pre-paid contracts (such as termite and pest, yard maintenance, etc.)
- Homeowners Association Fees

The Day of Settlement

Settlement itself should be fairly brief. You'll have to sign a seemingly endless pile of documents, but since you've done your homework (along with the help of your team), things should go smoothly.

Here are some things you should bring:

- Your real estate broker or agent! No joke, this is important. You'll want your agent with you to help guide you through the process and be there to answer any questions you may have
- A copy of the contract
- Your loan application or loan assumption application
- Certified check for down payment and closing costs

The seller brings:

- The leases and estoppel certificates if the property is occupied
- The keys
- Warranties and guarantees
- Complete financial records
- Copies of any contracts currently in force
- Maintenance agreements
- Formal assignment of leases

- The formal deed.
- Any insurance policies in effect.
- Latest utility meter readings for water, gas, and electricity.

Should You Bring Your Attorney?

Whether or not you need your attorney at settlement depends on how complicated the transaction is. If you're just starting out and you've followed rich dad's advice to start small and keep things simple, you may not need an attorney there on the day of settlement. (Some states require you to have an attorney; your broker should let you know.)

Otherwise, have an attorney present if:

- The property is a large apartment building with many leases
- There are unusual zoning issues to be resolved
- You have questions about payment of closing costs or prorations. Try to resolve these beforehand, but if there were any sticking points, it doesn't hurt to have your attorney present on settlement day
- Complicated contingencies were written into the contract

I Can't Read All These Documents!

There are many documents to sign at closing. Ask about getting copies ahead of time so you can read them without wasting time at settlement. You should look for certain things.

Here's a closing checklist:

- Examine the deed to be sure it conforms to the contract
- Check to see that all liens have been removed
- Obtain rent rolls and lease agreements, estoppel certificates, a record of unpaid rents, and any other details pertaining to the tenants
- Check the proration figures
- Check to be sure all contingencies have been removed
- Take possession of all warranties, service contracts, and guarantees

What is a Settlement Statement?

The Department of Housing and Urban Development (HUD) has guidelines overseeing the closing process, and those guidelines include a settlement statement to be used in all real estate transactions.

The HUD web site (www.hud.gov) also has a detailed explanation of each item on the settlement statement and how it is to be filled in. If you don't have access to the Internet, you can call HUD at (202) 708-1112. In addition, your broker or agent will be very familiar with everything on a settlement statement. Don't be afraid to ask questions.

A. **Settlement Statement**

U.S. Department of Housing and Urban Development

OMB Approval No. 2502-0265

B. Type of Loan

1. ☐ FHA 2. ☐ FmHA 3. ☐ Conv. Unins. 4. ☐ VA 5. ☐ Conv. Ins.	6. File Number:	7. Loan Number:	8. Mortgage Insurance Case Number:

C. Note: This form is furnished to give you a statement of actual settlement costs. Amounts paid to and by the settlement agent are shown. Items marked "(p.o.c.)" were paid outside the closing; they are shown here for informational purposes and are not included in the totals.

D. Name & Address of Borrower:	E. Name & Address of Seller:	F. Name & Address of Lender:

G. Property Location:	H. Settlement Agent:	
	Place of Settlement:	I. Settlement Date:

J. Summary of Borrower's Transaction		**K. Summary of Seller's Transaction**	
100. Gross Amount Due From Borrower		**400. Gross Amount Due To Seller**	
101. Contract sales price		401. Contract sales price	
102. Personal property		402. Personal property	
103. Settlement charges to borrower (line 1400)		403.	
104.		404.	
105.		405.	
Adjustments for items paid by seller in advance		**Adjustments for items paid by seller in advance**	
106. City/town taxes to		406. City/town taxes to	
107. County taxes to		407. County taxes to	
108. Assessments to		408. Assessments to	
109.		409.	
110.		410.	
111.		411.	
112.		412.	
120. Gross Amount Due From Borrower		**420. Gross Amount Due To Seller**	
200. Amounts Paid By Or In Behalf Of Borrower		**500. Reductions In Amount Due To Seller**	
201. Deposit or earnest money		501. Excess deposit (see instructions)	
202. Principal amount of new loan(s)		502. Settlement charges to seller (line 1400)	
203. Existing loan(s) taken subject to		503. Existing loan(s) taken subject to	
204.		504. Payoff of first mortgage loan	
205.		505. Payoff of second mortgage loan	
206.		506.	
207.		507.	
208.		508.	
209.		509.	
Adjustments for items unpaid by seller		**Adjustments for items unpaid by seller**	
210. City/town taxes to		510. City/town taxes to	
211. County taxes to		511. County taxes to	
212. Assessments to		512. Assessments to	
213.		513.	
214.		514.	
215.		515.	
216.		516.	
217.		517.	
218.		518.	
219.		519.	
220. Total Paid By/For Borrower		**520. Total Reduction Amount Due Seller**	
300. Cash At Settlement From/To Borrower		**600. Cash At Settlement To/From Seller**	
301. Gross Amount due from borrower (line 120)		601. Gross amount due to seller (line 420)	
302. Less amounts paid by/for borrower (line 220)	( )	602. Less reductions in amt. due seller (line 520)	( )
303. Cash ☐ **From** ☐ **To Borrower**		**603. Cash** ☐ **To** ☐ **From Seller**	

Section 5 of the Real Estate Settlement Procedures Act (RESPA) requires the following: • HUD must develop a Special Information Booklet to help persons borrowing money to finance the purchase of residential real estate to better understand the nature and costs of real estate settlement services; • Each lender must provide the booklet to all applicants from whom it receives or for whom it prepares a written application to borrow money to finance the purchase of residential real estate; • Lenders must prepare and distribute with the Booklet a Good Faith Estimate of the settlement costs that the borrower is likely to incur in connection with the settlement. These disclosures are mandatory.

Section 4(a) of RESPA mandates that HUD develop and prescribe this standard form to be used at the time of loan settlement to provide full disclosure of all charges imposed upon the borrower and seller. These are third party disclosures that are designed to provide the borrower with pertinent information during the settlement process in order to be a better shopper.

The Public Reporting Burden for this collection of information is estimated to average one hour per response, including the time for reviewing instructions, searching existing data sources, gathering and maintaining the data needed, and completing and reviewing the collection of information.

This agency may not collect this information, and you are not required to complete this form, unless it displays a currently valid OMB control number.

The information requested does not lend itself to confidentiality.

Previous editions are obsolete

Page 1 of 2

form **HUD-1** (3/86)
ref Handbook 4305.2

L. Settlement Charges				
700. Total Sales/Broker's Commission based on price $ @ % =			Paid From Borrower's Funds at Settlement	Paid From Seller's Funds at Settlement
Division of Commission (line 700) as follows:				
701. $ to				
702. $ to				
703. Commission paid at Settlement				
704.				
800. Items Payable In Connection With Loan				
801. Loan Origination Fee %				
802. Loan Discount %				
803. Appraisal Fee to				
804. Credit Report to				
805. Lender's Inspection Fee				
806. Mortgage Insurance Application Fee to				
807. Assumption Fee				
808.				
809.				
810.				
811.				
900. Items Required By Lender To Be Paid In Advance				
901. Interest from to @$ /day				
902. Mortgage Insurance Premium for months to				
903. Hazard Insurance Premium for years to				
904. years to				
905.				
1000. Reserves Deposited With Lender				
1001. Hazard insurance months @$ per month				
1002. Mortgage insurance months @$ per month				
1003. City property taxes months @$ per month				
1004. County property taxes months @$ per month				
1005. Annual assessments months @$ per month				
1006. months @$ per month				
1007. months @$ per month				
1008. months @$ per month				
1100. Title Charges				
1101. Settlement or closing fee to				
1102. Abstract or title search to				
1103. Title examination to				
1104. Title insurance binder to				
1105. Document preparation to				
1106. Notary fees to				
1107. Attorney's fees to				
(includes above items numbers:)				
1108. Title insurance to				
(includes above items numbers:)				
1109. Lender's coverage $				
1110. Owner's coverage $				
1111.				
1112.				
1113.				
1200. Government Recording and Transfer Charges				
1201. Recording fees: Deed $; Mortgage $; Releases $				
1202. City/county tax/stamps: Deed $; Mortgage $				
1203. State tax/stamps: Deed $; Mortgage $				
1204.				
1205.				
1300. Additional Settlement Charges				
1301. Survey to				
1302. Pest inspection to				
1303.				
1304.				
1305.				
1400. Total Settlement Charges (enter on lines 103, Section J and 502, Section K)				

Final Thoughts

OVERCOMING THE FEAR OF FAILING

For years we have traveled the world, speaking on entrepreneurship and investing. Our intent is to highlight the importance of financial education and how financial education is essential to financial freedom and financial security. When asked what we personally invest in, we say, "We became financially independent investing in real estate."

Regardless of where we are—the United States, Australia, South Africa, Europe, or Asia—or to whom we are speaking—rich or poor—what we hear back are similar responses to the idea of investing in real estate.

Here are a few choice comments:

- "I don't want to fix toilets."
- "I don't have any money."
- "I don't have the time."
- "Real estate is risky."
- "What if I lose money?"
- "You can't do what you do here."

It's our opinion these responses are simply excuses. Excuses that mask a deeper, darker, hidden, unexpressed reality.

Most people who use these excuses are:

- Not educated in real estate.
- Lazy.
- Afraid of failing.
- All of the above.

We say this because most people want to be financially free. Most people would love to have financial security. Most people would love to have money coming in regardless of whether they worked or not. Many people would love to stop working and do something they really wanted to do.

For us, real estate represents freedom. Real estate means control over our lives and our future. We are not depending upon a retirement plan filled with stocks, bonds, and mutual funds—investments that someone else manages. We want control of our own financial destiny. This is why, when we hear such excuses as "I don't have any money" or "I don't want to fix toilets." We know these excuses are just that. We know people are looking at the journey, not the destination. A friend of ours has two sayings about this human failing. His first saying is, "Everyone wants to go to heaven, but no one wants to die." His second, "Many people will not start the journey until all the lights are green."

Unfortunately, too many people allow their excuses to get between them and the life they would love to live. Rather than look beyond real estate, looking at what becoming a real estate investor can do for their lives, most people are blinded by their own excuses. They see what they are afraid of rather than what they want in life. Fear and laziness blur their vision, limiting the boundary of their lives.

> *Success comes when you focus on your dream, not your fears.*